EQUITY RESEARCH · INITIATION OF COVERAGE · INDIA · AUTOMOBILES (COMMERCIAL VEHICLES)

Ashok Leyland Ltd

NSE: ASHOKLEY · BSE: 500477 · Medium and heavy commercial vehicles, LCVs, engines, defence · 220,437 vehicles in FY26

Record volumes, a margin test ahead: we start at Hold

19 October 2026 · prices as of 16 October 2026 close

RATING	CMP (16-Oct-26)	12-MONTH TARGET (50:50 DCF / P/E)	PRICE UPSIDE / DIV. YIELD
HOLD model-based · medium conviction	**₹148.91**	**₹140**	**-6.0% / 2.4%**

Summary. Ashok Leyland has just had the best year in its history and has started the next one with a margin dip. In FY26 (year to March 2026) it sold 220,437 vehicles, above the previous peak of 197,366 in FY19, and reported net sales of ₹44,007 cr (+13.6%), an EBITDA margin of 13.0% and profit after tax of ₹3,566 cr. The Indian commercial-vehicle industry grew 12.6% to 10.79 lakh units as GST on commercial vehicles fell from 28% to 18% in September 2025. Q1 FY27 (June 2026 quarter) was a record Q1 for volumes at 48,673 vehicles, but standalone EBITDA margin fell to 10.1% from 11.1% a year earlier and 14.6% in Q4 FY26, because material cost rose to 71.5% of revenue (+90 bps) and the quarter is seasonally weaker. The shares closed at ₹148.91 on 16 October 2026, about 30% below the 52-week high of ₹211.92 in our price feed.

Why we rate it Hold. We value the shares two ways and blend them equally. (1) A 15-year free-cash-flow DCF (cost of equity 13.56%, terminal growth 5%) gives ₹110 per share today and ₹124 in twelve months. (2) A P/E leg at 20x our FY28E EPS of ₹7.85 gives ₹157. The 50:50 blend is ₹141, which we round to a target of ₹140: a price change of -6.0% and a total return of -3.6% including the ₹3.50 FY26 dividend, inside our Hold band of −10% to +15%. Motilal Oswal (14-Aug-26) rates the stock Buy with a target of ₹198, using 13x FY28E EV/EBITDA plus about ₹10 per share for the finance subsidiaries; our estimates are 12% below its FY28E EPS (₹7.85 vs ₹8.9) and we do not value the subsidiaries separately. The company is delivering; our valuation arithmetic simply does not pay for a margin recovery that has not yet been seen.

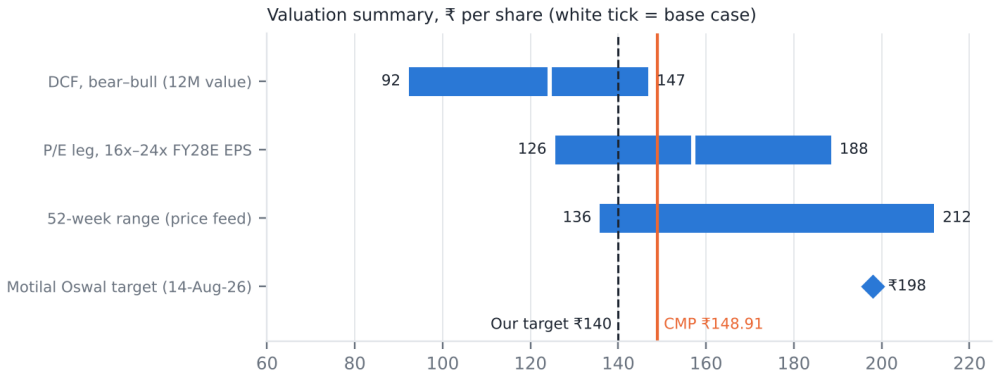
What would change our view. Upgrade: Q2 and Q3 FY27 EBITDA margins moving back toward 13% as management guides (commodity pressure peaking in Q2 FY27, easing in Q3 and turning in Q4), with price hikes sticking; or a share price below about ₹125 (Section 11.9). Downgrade: material cost staying above 72% of sales beyond Q2, a fall in domestic M&HCV share (about 29% in Q1 FY27 against 30.8% for FY26 per the CEO), or capital calls from the finance and e-bus subsidiaries that reduce the net cash cushion.

Key data	Value
Market cap (derived)	₹87,468 cr
Shares	587.39 cr (face value ₹1)
52-week high / low	₹211.92 / ₹135.84
Price / book (derived)	6.7x (BV ₹22.33)
P/E trailing (FY26 EPS)	24.5x
RoNW FY26 (company)	29.85%
Dividend FY26	₹3.50 (2.4% yield)
Promoter / FPI / MF	51.10% / 24.37% / 7.86%
Net cash (Mar-26 / Jun-26)	₹5,899 cr / ₹2,252 cr

₹ cr (standalone)	FY25	FY26	FY27E	FY28E
Volume (thousand vehicles)	195.1	220.4	235.9	250.0
Net sales	38,753	44,007	48,265	52,695
Operating EBITDA	4,931	5,732	5,695	6,850
EBITDA margin	12.7%	13.0%	11.8%	13.0%
Net profit	3,303	3,566	3,774	4,612
EPS (₹, post-bonus)	5.62	6.07	6.42	7.85
P/E at CMP (x)	26.5	24.5	23.2	19.0
Dividend per share (₹)	3.13	3.50	3.53	4.32

Source: Ashok Leyland annual report FY26 (MD&A) and earnings calls for FY24–FY26; Motilal Oswal (14-Aug-26) for broker comparison; our estimates (standalone) for FY27E–FY29E; price and 52-week range from the portfolio dashboard price feed; market cap = price × 587.39 cr shares. EPS is post-bonus (1:1, July 2025); FY25 EPS of ₹5.62 is the company's restated figure and FY24 (₹4.46) is half the reported ₹8.92.

- **Record year, softer start to FY27.** FY26 volume +13.0%, revenue +13.6%, margin 13.0%; Q1 FY27 margin 10.1%.
- **Valuation.** DCF ₹124 (12M), 20x FY28E P/E ₹157, target ₹140 vs CMP ₹148.91.
- **Not in our numbers.** Value of finance and EV subsidiaries (Motilal Oswal adds ~₹10 per share for the NBFC).



Valuation summary, ₹ per share. Source: our model; Motilal Oswal (14-Aug-26); price feed.

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Scope, sources and how to read this report

This report was prepared on 19 October 2026 from twelve documents supplied to us in a shared folder, plus the portfolio dashboard's price feed. It follows one rule above all: every figure is either taken from a source we name, derived from named figures by arithmetic we show, or labelled as our own estimate. Where sources disagree we say so and list the conflict in Section 15. Where a figure was not in our sources we leave it out rather than guess; we did not invent numbers to fill gaps. We did not use any source outside the folder for company facts. We did not have a Screener or exchange-filing download, so market capitalisation is derived from the price and the share count.

Document	What it is	How we used it
Annual report FY26 (2025-26)	Board report, corporate governance, MD&A, BRSR; full 340 pages, including audited standalone and consolidated statements and notes	Primary source for FY26 audited P&L, balance sheet and cash flow, notes, subsidiaries, industry data, shareholding
Annual report FY25	Full 323 pages, including audited statements; 10-year financial table	FY25 and FY24 audited comparatives, FY23–FY25 history, ratios, FY25 narrative
Annual report FY24	Chairman message, notice, Board report (text read to about page 75; statements not read)	FY24 narrative and history
Annual Return FY26	Scanned image; no extractable text	Not used (unreadable)
Q1 FY26, Q2 FY26, Q3 FY26, Q4 FY26 earnings-call transcripts	Management remarks and Q&A, Aug-25 to May-26	Quarterly numbers, guidance, outcomes
Q1 FY27 earnings-call transcript	Management remarks and Q&A (Aug-26)	Latest quarter, margin outlook, capex and subsidiary guidance
76th AGM transcript (14-Aug-25)	Chairman and CEO remarks, shareholder Q&A	FY25 summary, export and defence targets
Motilal Oswal report (14-Aug-26)	Buy, target ₹198, FY27E–FY28E estimates	Broker cross-check
BP Equities report (18-Aug-26)	"Cautiously constructive", FY23–FY28E table	Broker cross-check

Conventions. ₹ cr = ten million rupees; ₹ lakh = one hundred thousand rupees. "Units" are vehicles. "Standalone" means Ashok Leyland Ltd alone (the parent), which is the basis of the company's MD&A tables and of our forecasts; subsidiaries are not consolidated. "EBITDA margin" is the company's operating margin: net sales less material, employee and other expenses, measured on net sales (other income excluded). Per-share data are post-bonus (1:1, July 2025). FY means the year to 31 March. "M&HCV" is medium and heavy commercial vehicles; "LCV" is light commercial vehicles. Industry data are SIAM figures quoted in the annual report. Estimates for FY27E onwards are our own and are not company guidance or consensus.

1. Executive summary and investment thesis

1.1 In one page

- What it is. A medium and heavy commercial-vehicle maker with a growing set of other businesses: 220,437 vehicles in FY26 (domestic M&HCV trucks 106,772 including defence, domestic LCV 74,322, domestic M&HCV buses 21,261, exports 18,082), net sales ₹44,007 cr, PAT ₹3,566 cr, and net cash of ₹5,899 cr at March 2026.
- Where we are in the cycle. GST on commercial vehicles fell from 28% to 18% in September 2025, cutting new-truck prices by about 10% (CEO). Industry volumes jumped: the annual report records the second half of FY26 as the highest-ever Q3 (2.90 lakh units, +21.5%) and Q4 (3.25 lakh, +18.9%) in industry history. FY26 industry sales were 10.79 lakh units (+12.6%).
- Latest quarter. Q1 FY27 volume was 48,673, a record Q1; net sales ₹9,634 cr (+10.4%), EBITDA ₹970 cr (flat), margin 10.1% against 11.1% a year earlier, PAT ₹609 cr (+2.6%). Material cost was 71.5% of revenue (+90 bps).
- Margins. Management says commodity pressure peaks in Q2 FY27, softens in Q3 and turns in Q4, helped by cumulative price hikes of about 2.25% in M&HCV and over 3.5% in LCV since the start of FY27, a cost-reduction programme and a mix shift back to heavy trucks.
- Valuation. At ₹148.91 the shares trade at 24.5x FY26 EPS, 19.0x our FY28E EPS of ₹7.85, and about 12.4x our FY28E EBITDA after deducting June-2026 net cash.
- Our call. Hold, 12-month target ₹140 (50:50 blend of DCF ₹124 and 20x FY28E P/E ₹157). The target is 6% below the price; with the ₹3.50 dividend the expected total return is -3.6%.

1.2 Five things the data support

(1) The volume story is real and broad. Total vehicle sales rose 13.0% in FY26 to 220,437 (FY25: 195,097). Domestic M&HCV trucks excluding defence grew 15.2% to 105,905; LCVs grew 14.3% to 74,322 (a record, with Vahan share up 80 bps to 12.7%); exports grew 18.5% to 18,082 (a record). Only buses fell (−1.9% to 20,840, against a high FY25 base). Q1 FY27 added another record quarter: M&HCV trucks +15%, LCV +21%, exports −18% (disrupted by the Ras Al Khaimah plant constraint in April–May).

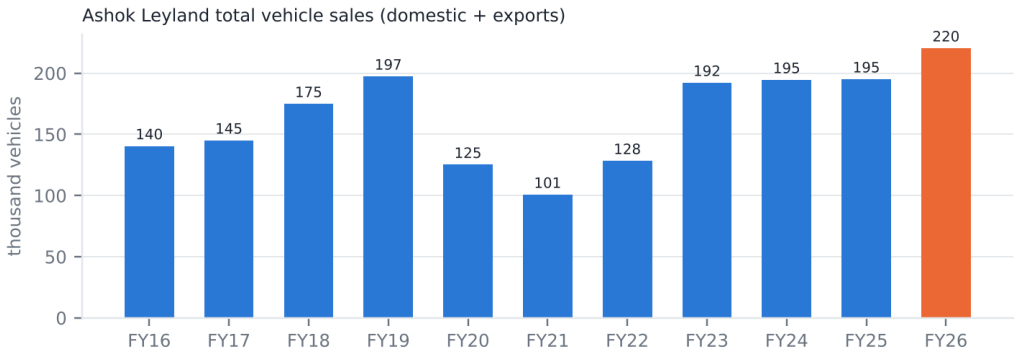


Figure 1: Ashok Leyland total vehicle sales, FY16–FY26 (vehicles in thousands). Source: annual report FY25 and FY26 ten-year tables. FY26 (orange) is the first year above the FY19 peak of 197,366.

(2) Replacement demand is the second leg of the story. The annual report puts the average age of the on-road fleet at nearly ten years; the CEO said on the Q3 FY26 call that it had risen from 7–7.5 years to 10–10.5 years and that GST 2.0 could be the trigger for a replacement cycle. On the Q4 call he added that fleet owners drew up expansion and replacement plans in December–January and that, a week after the diesel price rise, they were not changing them.

(3) Margins have stepped up and the break-even has fallen. EBITDA margin was 8.1% in FY23 (BP Equities table), 12.0% in FY24, 12.7% in FY25 and 13.0% in FY26 (company basis), and the company reported 14.6% in Q4 FY26. On the Q1 FY27 call the CFO said the break-even point is now 1,000–1,500 M&HCV trucks a month, against 6,000–7,000 earlier. That lower break-even helps explain, in our reading, why margins held up in a weak first half of FY26. The test now is raw materials: Q1 FY27 was 10.1%.

(4) The balance sheet is strong but seasonal. Net cash was ₹4,242 cr at March 2025 (from net debt of ₹89 cr a year earlier), about ₹1,000 cr at September 2025, ₹2,619 cr at December 2025, ₹5,899 cr at March 2026 and

₹2,252 cr at June 2026. The CEO explained the March peak: Q4 is the busiest quarter, so raw-material payables peak in April–May. Year-on-year comparisons are the right ones (+₹1,650 cr at March 2026). Ratings are AA+ Stable from both CARE and ICRA.

(5) Non-vehicle businesses are growing faster than trucks. FY26 spare parts revenue was ₹4,450 cr (+12%, annual report), engines (Power Solutions) crossed ₹1,000 cr of revenue, exports were about ₹3,200 cr and defence about ₹800 cr on the standalone books (₹1,200 cr including subsidiaries). In Q1 FY27 aftermarket grew 12.7%, Power Solutions 51% and defence 64%.

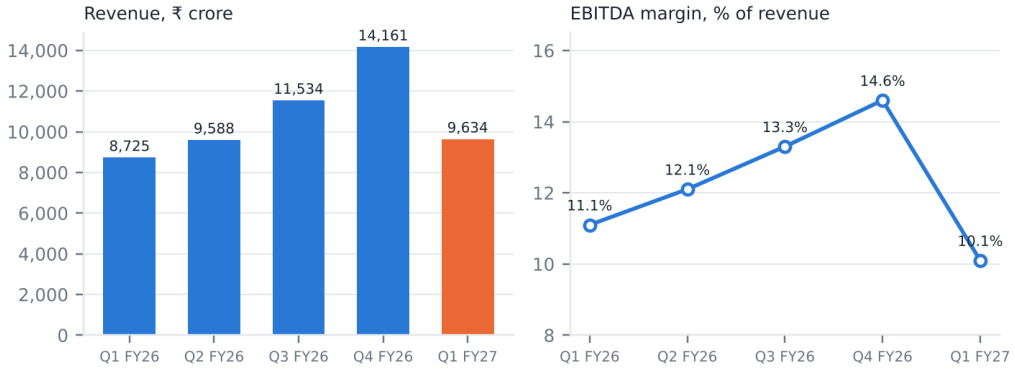


Figure 2: Quarterly revenue and EBITDA margin, Q1 FY26 to Q1 FY27 (standalone). Source: Q1 FY26–Q1 FY27 call transcripts. Q1 FY27 (orange) fell back to 10.1% with the seasonally smaller quarter and higher commodity cost.

1.3 Why Hold when the results are this good

Because the price already pays for much of the recovery on our numbers. At ₹148.91 the market capitalisation is ₹87,468 cr. Our base-case DCF values the standalone operations plus net cash at ₹110 today; to reach the market price on the DCF alone, the steady-state EBITDA margin would have to be about 18.6% (our base is 13.5%, FY26 was 13.0% and the best quarter in our sources, Q4 FY26, was 14.6%), or the cost of equity would have to be about 11% (at 11% and 5% growth the value is ₹154). That is why we do not use the DCF alone: the brokers in our folder price the stock on earnings and EV/EBITDA multiples, and our 20x on FY28E EPS sits between the 19x the market pays on our numbers and the roughly 22x implied by Motilal Oswal's target (₹198 ÷ FY28E EPS ₹8.9, our arithmetic). With the two legs ₹33 apart, we weight them equally and say so.

Bottom line. Ashok Leyland has the volumes, the product pipeline, the order books in buses and defence, and a net-cash balance sheet. What it lacks, for now, is evidence that margin returns to 13% in the second half of FY27 as management expects. Q2 FY27 results are the first test. At ₹148.91 we are neutral; below about ₹125 the rating bands would make it a Buy on our target, and above about ₹159 a Sell.

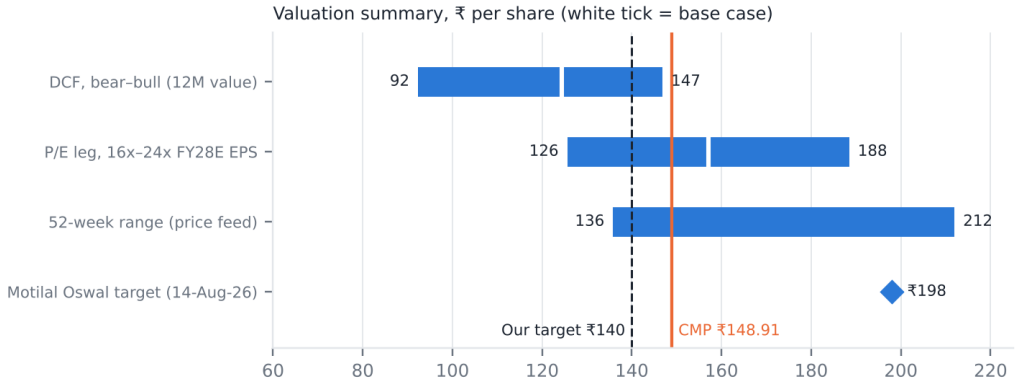


Figure 3: Valuation summary. DCF range is our bear–bull 12-month value; the P/E range is 16–24x our FY28E EPS; the Motilal Oswal target was set on 14 August 2026 when the stock was ₹172. 52-week range is from the dashboard price feed.

1.4 Timeline of events, July 2025 to October 2026

Date	Event	Source
Jul 2025	1:1 bonus issue; share count doubles to 587.39 cr	Annual report FY26
14 Aug 2025	76th AGM: FY25 revenue ₹38,753 cr, EBITDA ₹4,931 cr, net cash ₹4,242 cr; company has no US exposure	AGM transcript
Sep 2025	GST on CVs cut from 28% to 18% (prices down ~10%); share price hits an all-time high in the third week	Q2 FY26 call
Oct 2025	AC cabin mandate for M&HCV trucks takes effect	Annual report FY26; Q2 call
11–12 Nov 2025	Q2 FY26: revenue ₹9,588 cr, EBITDA ₹1,162 cr (12.1%); interim dividend ₹1	Q2 FY26 call
Q3 FY26	New labour codes: one-time charge of ₹308 cr; HIPPO tractors and TAURUS tippers launched (between the Q2 and Q3 calls)	Q3 FY26 call
11 Feb 2026	Q3 FY26: revenue ₹11,534 cr (+21.7%), EBITDA ₹1,535 cr (13.3%)	Q3 FY26 call
Feb–Mar 2026	First shipments of new heavy trucks (a few hundred units to 31 March); international logistics disruption in March	Q4 FY26 call
1 Apr 2026	Price increase of 1–1.5% across categories	Q4 FY26 call
28 May 2026	Q4 FY26: revenue ₹14,161 cr (+19%), EBITDA margin 14.6%; second interim dividend ₹2.50; net cash ₹5,899 cr	Q4 FY26 call
Aug 2026	Q1 FY27: record Q1 volume 48,673, EBITDA margin 10.1%; guidance that commodity pressure peaks in Q2	Q1 FY27 call
14 / 18 Aug 2026	Motilal Oswal Buy, target ₹198 (CMP ₹172); BP Equities "cautiously constructive" (CMP ₹177)	Broker reports
16 Oct 2026	Close ₹148.91; market cap ₹87,468 cr (derived)	Price feed

Dates are as stated in the cited sources; where a source gives only a quarter or month we show that. We did not find a source in our folder for the date of the Q1 FY27 call, so we show "Aug 2026".

2. Company overview

2.1 What the company does

Ashok Leyland Ltd makes commercial vehicles and adjacent products. According to its annual report and calls, the business has the following parts. The standalone company holds the vehicle, engine, defence, spares and foundry operations; the electric-vehicle, e-bus operating and finance businesses sit in subsidiaries.

Business	What it sells	FY26 fact (source)
M&HCV trucks	Haulage, tippers, tractor-trailers, multi-axle vehicles (HIPPO, TAURUS, AVTR ranges)	105,905 units ex-defence, +15.2% (annual report)
M&HCV buses	Chassis and fully built buses (Garud, Oyster, Lynx, Sunshine ranges) for state transport, staff, school and intercity use	20,840 units ex-defence, −1.9%; share 34.1% (Q4 call)
LCV	2–4 tonne Bada Dost range (BADA DOST XL series; 4.1-tonne model launched)	74,322 units, +14.3%; Vahan share 12.7%; #2 in 2–4 tonne (annual report)
International	Exports to the GCC, Africa, SAARC and ASEAN; plant at Ras Al Khaimah (UAE)	18,082 units, +18.5%; ~₹3,200 cr revenue (CFO)
Power Solutions	Industrial, agricultural and genset diesel engines	36,046 engines (+10%) in the MD&A; 36,351 in the ten-year table; revenue above ₹1,000 cr
Defence	Logistics and tactical vehicles, kits and turnkey supplies	1,414 VFJ kits (+60%); ~₹800 cr standalone, ~₹1,200 cr with subsidiaries
Aftermarket	Genuine spare parts, service	₹4,450 cr spare-parts revenue, +12% (annual report)
Foundry	Castings for own use and external customers	100,089 MT produced (+3.4%); 50,503 MT sold externally
Subsidiaries	Switch India (e-buses, e-LCVs), OHM (e-bus operator), Hinduja Leyland Finance, Hinduja Housing Finance	Switch India first net profit (~₹100+ cr); HLF AUM ~₹59,000 cr; HHF AUM ~₹16,000 cr (Q4 call)

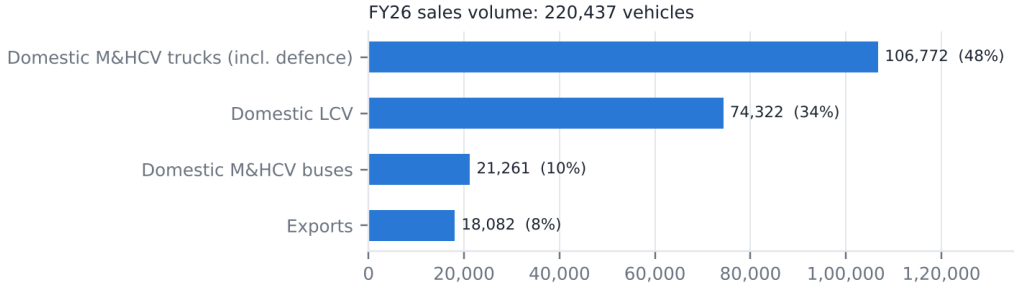


Figure 4: FY26 vehicle volume by category (total 220,437). Source: annual report FY26 MD&A. Domestic trucks include defence vehicles.

2.2 Scale and history in ten years

Revenue (gross sales) rose from ₹19,993 cr in FY16 to ₹44,007 cr in FY26, a 8.2% compound annual rate, but not in a straight line: it peaked at ₹29,055 cr in FY19, fell to ₹15,301 cr in FY21, and then almost tripled to ₹44,007 cr by FY26 (23.5% a year over five years). PAT was a loss of ₹314 cr in FY21 and ₹3,566 cr in FY26. Vehicle volume tells the same story: 140,457 in FY16, 197,366 in FY19, 100,725 in FY21 and 220,437 in FY26.

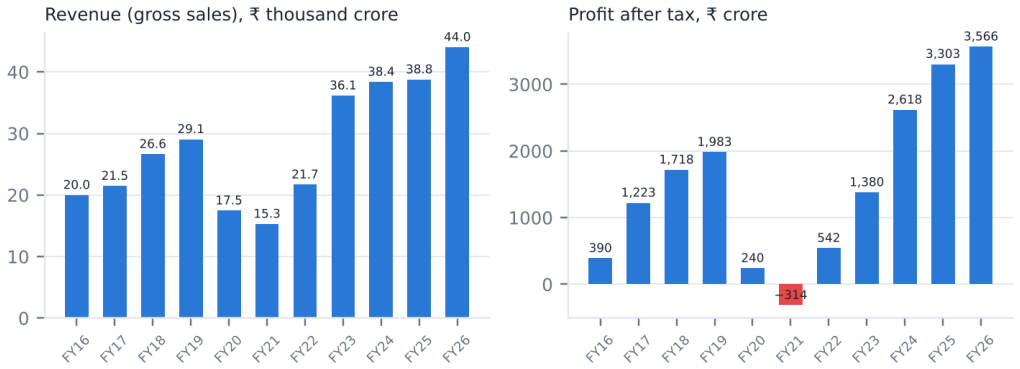


Figure 5: Revenue (gross sales) and profit after tax, FY16–FY26. Source: annual report FY25 and FY26 ten-year tables (standalone, Ind AS).

2.3 Plants, network and people

Manufacturing sites named in the FY25 annual report are Ennore (Chennai), Sriperumbudur (foundry), Hosur and Vellivoyalchavadi (technical centre) in Tamil Nadu, Bhandara in Maharashtra, Alwar in Rajasthan, Pantnagar in Uttarakhand and Vijayawada in Andhra Pradesh. A new bus plant at Lucknow was inaugurated in FY26; with the Vijayawada facility (opened March 2025) the company expects bus body-building capacity of about 20,000 a year, from about 12,000. A battery-pack plant at Pillaipakkam near Chennai has been announced (groundbreaking done; production targeted for "Q2 of next year" on the 28 May 2026 call). The company had 2,104 sales and service touch points at March 2026 (1,159 M&HCV, 945 LCV) and 2,137 at June 2026 (1,177 and 960); in FY26 it added 108 service outlets and 883 service bays, about 40% in the North and East. Employees numbered 9,891 at March 2026 (9,695 a year earlier).

2.4 Subsidiaries and associates

At 31 March 2026 the company had 39 subsidiaries, 6 associates and 4 joint ventures; Hinduja Leyland Finance Ltd (HLFL) is the material subsidiary (the company holds 61.12%, per the Q1 FY26 call). In FY26 Ashok Leyland invested ₹370.58 cr in Optare Plc (UK), taking its stake to 93.28%, ₹5.70 cr in Vishwa Buses and Coaches and ₹10 cr in Gro Digital Platforms (annual report); on the Q4 call the investment in subsidiaries for the full year was put at ₹387 cr, mostly repayment of loans in the Optare books. Switch Mobility UK stopped manufacturing at Sherburn during the year and continues to support the existing UK fleet; a Saudi subsidiary was incorporated; and the West Africa step-down subsidiary was liquidated.

Subsidiary	What it does	Latest data in our sources
Switch Mobility India	Electric buses and e-LCVs	FY26: 1,530 e-buses (+238%), 1,600 e-LCVs (+56%), first full-year net profit; order book 1,600 (Q4 call); ~2,100 e-buses on order after Q1 FY27; Q1 FY27: 225 e-buses and ~300 e-LCVs
OHM Global Mobility	e-bus operator (e-MaaS) for state transport and GCC projects	More than 1,400 e-buses operating at March 2026, more than 1,900 at June 2026; GCC projects at double-digit IRR (Q3 call)
Hinduja Leyland Finance (HLF)	Vehicle finance	AUM ~₹59,000 cr (+24%), PAT ₹491 cr (+20%) in FY26; AUM ₹60,310 cr (+20%), Q1 FY27 PAT ₹123 cr
Hinduja Housing Finance (HHF)	Housing finance	AUM ~₹16,000 cr (+15%), PAT ₹387 cr (+4%) in FY26 as stated by the chairman/CEO; Q1 FY27 AUM ₹16,157 cr, PAT ₹69 cr
Optare Plc (UK)	Legacy UK bus business	Loan from Ashok Leyland of GBP 80 mn originally; GBP 30 mn repaid by May 2026; GBP 50 mn balance to be repaid GBP 25 mn in FY27 and GBP 25 mn in FY28 (Q1 FY27 call)

The reverse merger of HLF with NDL Ventures Limited, a listed company (the annual report names it; the transcripts render the name inconsistently), would list the finance business. RBI gave final clearance in Q2 FY26; the CFO said on 28 May 2026 that it should close "within this or the next quarter"; after Q1 FY27 it was still awaiting NCLT approval. We treat the timing as uncertain.

2.5 Ownership

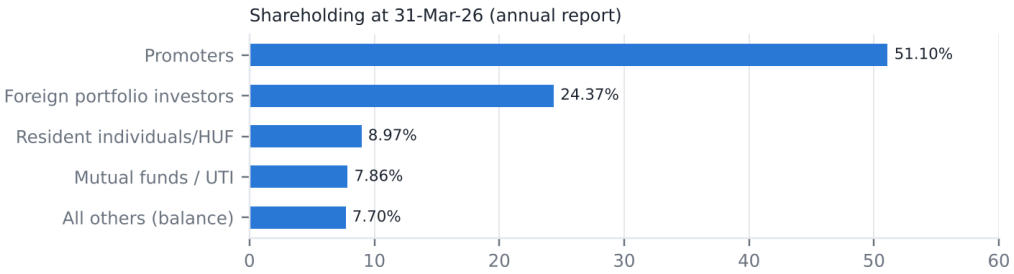


Figure 6: Shareholding at 31 March 2026. Source: annual report FY26 (shares 5,87,38,54,552; 15,41,743 holders). Other categories in the balance: GDR account 0.81%, trusts 0.12%, banks 0.13%, AIFs 0.09%.

Promoters hold 51.10%. Foreign portfolio investors hold 24.37% and mutual funds 7.86%. The annual report's shareholding pattern shows 3,00,13,20,522 promoter shares, or 51.10%, and Motilal Oswal agrees. The BP Equities table shows 51.5%, which the annual report does not support; we do not use it.

2.6 Management, board and governance

Dheeraj G. Hinduja is Executive Chairman, Shenu Agarwal is Managing Director and CEO, and K. M. Balaji is President (Finance) and CFO. The board at the August 2025 AGM also included Gopal Mahadevan (Director, Strategic Finance and M&A), Shom Hinduja, Thomas Dauner (additional director) and independent directors Jose Maria Alapont (chair of the audit and ESG committees; lead director), Dr V. Sumantran (chair of the stakeholders' relationship committee), Sven Ennerst and Sanjay Asher. Price Waterhouse & Co Chartered Accountants LLP are the statutory auditors. The company runs an enterprise risk-management framework aligned to COSO ERM and ISO 31000:2018, with risk-led cross-functional teams, a risk steering committee and a board risk committee. In the FY26 standalone auditors' report, Price Waterhouse & Co state that the financial statements give a true and fair view, and the opinion paragraph contains no qualification. The key audit matter they report is the carrying value of the equity investment in Optare Plc and its subsidiary Switch Mobility Automotive Limited (the "Optare group"), which we flag as a judgement area.

2.7 Stated strategy and targets

- Market share: the annual report and AGM describe a medium-term goal of about 35% in M&HCV; share was 30.3% (annual report) or 30.8% (CEO) in FY26.
- Exports: a medium-term target of 25,000 vehicles a year (AGM and annual report); FY26 was 18,082.
- Profitability: "mid-teen EBITDA in the mid-term" (CEO, Q2 FY26 call); FY26 was 13.0%.
- Scale: the Chairman said at the AGM that a ₹1 lakh crore revenue target "is very much a target" without a date; FY26 revenue was ₹44,007 cr.
- Technology: premiumisation (higher-horsepower trucks), electric and alternative fuels (CNG, LNG, hydrogen), and a phased battery plan (packs first, cells later).
- Sustainability: RE100 and SBTi commitments, 77% renewable electricity in FY26 (69% in FY25), carbon neutrality ambition by 2030 (AGM).

2.8 FY26 volumes at a glance

Units	FY25	FY26	Change
M&HCV trucks (ex-defence)	91,960	105,905	+15.2%
M&HCV buses (ex-defence)	21,249	20,840	−1.9%
Defence vehicles (trucks 867 + buses 421 in FY26)	1,584	1,288	−18.7%
Domestic M&HCV, total FY26 (21,261 buses + 106,772 trucks)		128,033	+11.5% (annual report)
LCV	65,049	74,322	+14.3%
Exports	15,255	18,082	+18.5%
Total vehicles	**195,097**	**220,437**	**+13.0%**

Source: annual report FY25 and FY26 MD&A. The 867 + 421 split of FY26 defence vehicles is derived as the difference between totals including and excluding defence. FY25 domestic M&HCV total including defence is not in the extract, so the growth shown is the company's own.

3. Industry analysis

3.1 India macro backdrop

The annual report describes FY26 as the fifth consecutive year in which India was the fastest-growing major economy, with real GDP growth of 7.6% (7.1% in FY25 and 7.2% in FY24). It lists five supports: faster government capital expenditure, strong farm output feeding rural consumption, resilient services, RBI policy easing, and the GST cut that "materially lowered commercial vehicle acquisition costs". Gross fixed capital formation grew above 8%. Government capital spending reached ₹10.75 lakh crore in FY26 against a budget of ₹11.21 lakh crore (about 3.1% of GDP), and execution was stronger than in FY25. The roads ministry targeted over 12,000 km of national highways in FY26, up from 10,457 km in FY25. Retail inflation averaged about 4.0–4.2%. Borrowing costs for commercial-vehicle buyers eased gradually through the year on surplus liquidity and lower NBFC funding costs. Domestic retail fuel prices were unchanged through FY26 despite volatile crude, but the CEO noted on 28 May 2026 that diesel had since risen by about ₹7 a litre.

3.2 Global and export markets

The report records that the Middle East conflict, including a near-effective blockade of the Strait of Hormuz, disrupted energy markets and freight. It quotes the IMF at 3.1% global growth for calendar 2026 (3.4% in 2025) and 3.2% in 2027, and Brent at an average of US$82.22 a barrel in 2026. For Ashok Leyland's four "home markets" outside India it describes:

Market	Annual-report view of FY26	Implication for the company
MENA / GCC	Region grew ~2.6–3.0% in CY25; Gulf rebound led by Saudi Arabia (4.5%)	Core export market; RAK plant ran at record output in FY26, then was constrained in Mar–May 2026
SAARC	India fastest growing; Bangladesh and Sri Lanka under currency stress, Nepal and Sri Lanka recovering	Bangladesh instability moderated demand; Sri Lanka recovering after import curbs eased
ASEAN	Growth moderated to 4.3% on higher energy prices	Company building a presence (PT Pindad MoU for e-buses and defence vehicles; Malaysia, Philippines distributors)
Africa	Grew ~4%; Sub-Saharan Africa ~4–4.5%; Chinese OEMs priced aggressively	Nigeria FX constraints; partnership with Hallmark Group in South Africa

The report also notes that US tariff policy and Chinese OEM pricing add complexity. At the AGM the Chairman said the company has no presence in the US market, so US tariffs had no direct impact.

3.3 The Indian commercial-vehicle industry in FY26

The annual report calls FY26 a "landmark year": the best-ever annual CV sales of 10.79 lakh units (+12.6%) and the highest in seven years, in two distinct halves. The first half was held back by inventory correction, regulatory transition costs and weak freight sentiment; the second half was a historic recovery driven by post-GST affordability, infrastructure execution, freight demand and the festive season.

SIAM data, FY26 (FY25)	Domestic FY26	Domestic FY25	Change	Exports FY26	Exports FY25	Change
M&HCV buses	67,149	67,307	−0.2%	16,874	11,241	+50.1%
M&HCV trucks	3,55,849	3,07,491	+15.7%	16,829	12,015	+40.1%
M&HCV total	4,22,988	3,74,798	+12.9%	33,703	23,256	+44.9%
LCV buses	61,597	54,807	+12.4%	4,656	4,889	−4.8%
LCV trucks	5,95,276	5,29,074	+12.5%	56,434	52,606	+7.3%
LCV total	6,56,873	5,83,881	+12.5%	61,090	57,495	+6.3%
CV total	**10,79,871**	**9,58,679**	**+12.6%**	**94,793**	**80,751**	**+17.4%**

Source: SIAM Flash Report March 2026, as reproduced in the annual report FY26 MD&A. The report also states total CV domestic sales grew 11.8%.

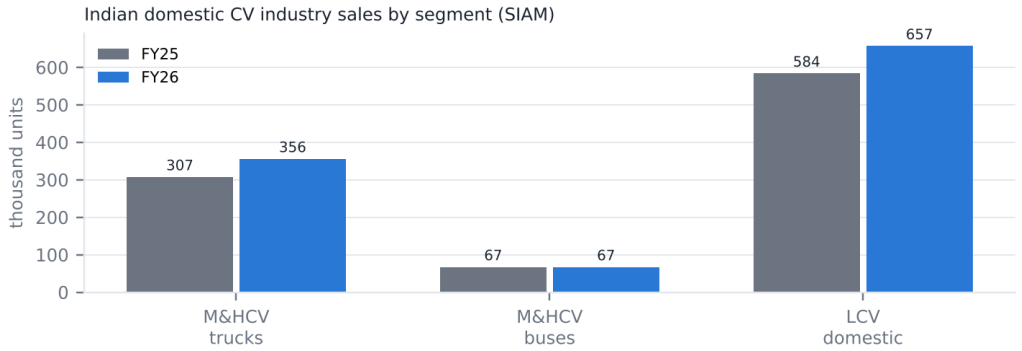


Figure 7: Domestic CV industry sales by segment, FY25 vs FY26 (thousand units). Source: SIAM via annual report FY26.

Quarter	Industry volume / metric	What drove it
Q1 FY26	Muted; M&HCV retail −4.4% YoY in May 2025	Inventory overhang from FY25, dealer destocking, weak freight sentiment
Q2 FY26	H1 retail 4.63 lakh (+2%); domestic M&HCV +4% in Q2 (CEO)	AC-cabin mandate drove pre-buying; e-commerce supported LCVs; September green shoots
Q3 FY26	2.90 lakh units (+21.5%), highest-ever Q3; M&HCV +21%, trucks +24%, LCV +23% (CEO)	Post-GST affordability, festive demand, infrastructure execution, strong freight rates; CV exports +22% in Q2
Q4 FY26	3.25 lakh units (+18.9%), highest-ever Q4; domestic M&HCV +21.5% (CEO)	Heavy trucks led by infrastructure; replacement buying accelerated

3.4 What drives each segment

- **Heavy trucks and tippers.** The annual report ties demand to government infrastructure spending (central capex +14.5% year on year in April–February FY26), manufacturing activity (sector GVA +11.5%) and mining. The CEO said on the Q4 call that tippers and multi-axle vehicles would be the fastest-growing segments in FY27, followed by trip trailers, with mining states (Maharashtra, Odisha, Chhattisgarh, Jharkhand, West Bengal) strongest; long-haul tractor-trailers outside steel, cement and iron may moderate.
- **Intermediate trucks (ICV).** Grew faster than heavy trucks after GST and created a "mix pressure" because heavy trucks are more margin-accretive (CEO, Q4 call). He expected the ICV enthusiasm to moderate and heavy-truck momentum to build, which would help mix.
- **Buses.** Demand was flat in FY26 on a high base from state-transport replacement; electric-bus decision cycles are longer because of upfront cost, charging infrastructure and subsidy alignment (annual report).
- **LCV.** Supported by e-commerce, last-mile distribution, farm income and lower acquisition cost after GST; the annual report names electric three-wheelers as a structural substitution risk in some urban uses.
- **Retail versus fleet.** For heavy trucks the retail share is about 55–60% and fleets the rest (CEO); in ICVs and LCVs retail is higher. Retail buyers moved first after GST; large fleets followed from December–January once input-tax-credit questions were settled.

3.5 The replacement cycle

Three statements in our sources frame the cycle. The annual report puts the average on-road fleet age at nearly ten years. The CEO said on 11 February 2026 that it had risen from 7–7.5 years to 10–10.5 years, that bulk buyers were by then "projecting their purchasing for the next many quarters", and that freight rates and demand were rising together, which he called a unique situation. And on 28 May 2026 he argued that even if diesel prices and commodity inflation caused a setback in Q1 or Q2, the demand "is not going to go away permanently. It is going to convert into a pent-up demand". Our reading is that the strongest evidence is the order of events: the GST cut lowered the cost of a new truck by about 10%, freight demand held up, and fleet ages were already at a high. The counter-evidence is that the CEO himself declined on 28 May 2026 to give an FY27 industry number ("I would have loved to give you an estimate, but I wouldn't hazard a guess here").

3.6 Industry momentum in FY27 so far

On the Q1 FY27 call (August 2026) management gave monthly M&HCV industry growth of about 12–13% in April, 1–2% in May, and above 20% in June and July, and said FY27 M&HCV industry growth should be in the high single digits even with a conservative second half; LCV growth should be slightly better. Motilal Oswal models Ashok Leyland FY27E volume growth of 6.3% to 234,250 vehicles. Our own estimate is 7.0% (235,868), explained in Section 10.

3.7 Raw materials and costs

Commodity	FY26 trend per annual report	Evidence from calls
Steel	Stable with a mild softening bias in FY26	Q4 call: "significant increase" in steel in Q1 FY27 is the main pressure
Aluminium	Volatile, trending upward	Q3 call: non-ferrous escalations hit gross margin
Copper	Strengthened significantly	Q3 call: PGM, copper and aluminium cited
PGM (catalytic metals)	Stabilising after earlier volatility	Q3 call: part of the 100 bps sequential rise in material cost
Rubber	Mentioned as a cost pressure (Q4 call)	Q4 call: steel, aluminium, copper and rubber named

The company's offset has been value engineering, e-sourcing, commercial negotiations and turnover discounts from suppliers (about 1.6% reduction secured in FY25, per the FY25 report), plus price increases. In Q4 FY26 these savings exceeded the commodity increase, which is why gross margin improved 80 bps sequentially even in a rising-cost quarter (CFO).

4. Competitive position

4.1 Market share

Market-share figures in our sources use different bases (wholesale or retail, with or without defence vehicles and e-buses) and we show each as stated rather than reconcile them.

Period	M&HCV domestic share	LCV share (Vahan)	Source
FY25	30.7% (derived from "30.3%, −0.4 pp")	11.9% (derived from "12.7%, +80 bps")	Annual report FY26
H1 FY26	31.0% (+50 bps), ex defence and EV buses	13.2% (+0.9 pp)	Q2 FY26 call
9M FY26	30.9% (+60 bps)	12.7% (+40 bps)	Q3 FY26 call
Q3 FY26	–	12.1% (+70 bps)	Q3 FY26 call
Q4 FY26	–	12.8% (+90 bps)	Q4 FY26 call
FY26	30.8% (CEO); 30.3% (annual report); trucks 30.2% (CEO) / 30.0% (MD&A); buses 34.1%	12.7% (+80 bps), a record	Q4 call; annual report
Q1 FY27	About 29% (domestic M&HCV)	13.2% (+30 bps)	Q1 FY27 call notes

Two points stand out. First, M&HCV share rose from FY22 to FY26: the CEO told an analyst who said share had been "stable or slightly declined" that the company had gained substantially on an FY22 base, though he conceded it lost some share in limited segments because its higher-horsepower tractors and tippers came later than competitors'. Second, share dipped to about 29% in Q1 FY27, when the new HIPPO and TAURUS ranges were only starting to ship; management said the effect on market share would show from Q2 FY27, especially in tippers and tractor-trailers. That is a testable claim for the Q2 FY27 results.

4.2 Sources of advantage that our documents support

- **Bus leadership.** 34.1% share in M&HCV buses in FY26 and the market-leader milestone in FY24; the order book for buses was "full" at the AGM and capacity is being raised to about 20,000 bodies a year.
- **Service and customer satisfaction.** Ranked No. 1 in the FADA Dealer Satisfaction Survey and in the Sales Satisfaction Index and No. 2 in the Customer Satisfaction Index (annual report FY26); in FY24 the chairman reported 2nd place in sales and service satisfaction.
- **Product pace.** More than 30% of FY24 sales came from products launched in the previous period (FY24 chairman). FY26 launches include the HIPPO 5532 tractor, TAURUS 320 hp tipper, AVTR 4828 multi-axle vehicle, 320 hp EGR tippers, several bus ranges, the 4.1-tonne Bada Dost and the Phoenix export LCV.
- **Electric and alternative fuels.** Two light electric trucks, three M&HCV electric trucks and several electric bus models were on sale by Q2 FY26, with CNG, LNG and hydrogen products developed (Q2 and Q3 calls). Switch India is the market leader in electric buses and in 2–4 tonne electric LCVs (Q4 call).
- **Cost position.** Lower break-even (1,000–1,500 trucks a month), the "Achieve 2K" cost programme, and a captive foundry that sold 50,503 MT externally in FY26.
- **Non-cyclical streams.** Spares, power solutions, defence and exports together smooth the truck cycle, as the annual report says "the contributions from these businesses have gone to mitigate the fixed costs".

4.3 Competitive pressures our documents flag

- Delay in higher-horsepower products cost some share in limited segments (CEO, Q4 call).
- In ASEAN and Africa, Chinese OEMs price aggressively with reduced Chinese government stimulus (annual report).
- Electric three-wheelers are a substitution risk for LCVs in select urban applications (annual report).
- The CEO hopes the industry stays disciplined on pricing, "taking multiple price hikes during the year" rather than a price war.
- We have no competitor financials in our folder, so we do not present a peer-multiple comparison.

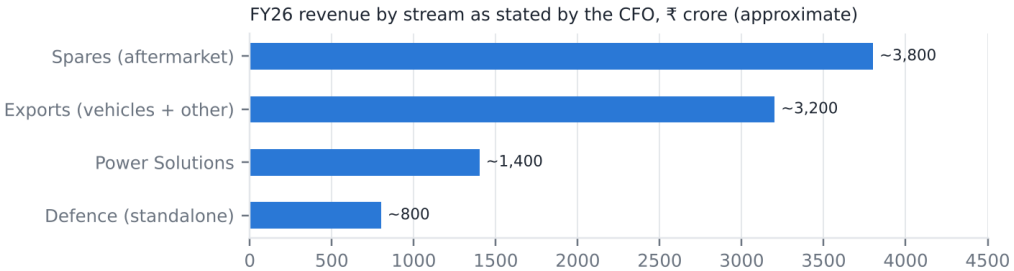


Figure 8: FY26 revenue by stream as stated by the CFO on the Q4 call (approximate; exports include vehicle sales that are also counted in the vehicle businesses).

4.4 Customer and segment signals from management

- **Heavy-duty mix.** The CEO described ICV growth outpacing heavy trucks as a "mix pressure" on margins and expected heavy-duty momentum from February 2026; the larger fleet owners took three months to adapt to the new tax regime.
- **Mining and infrastructure.** Mining and infrastructure-linked segments (tippers, multi-axle, trip trailers) were expected to be the fastest-growing in FY27; this is where the new HIPPO and TAURUS ranges compete.
- **Buses.** Medium-bus share is being raised from about 15% to about 25% (Q1 FY27 call); the North region share was about 27% on the same call.
- **LCV.** Addressable 2–4 tonne coverage rose to 55.9% with the Bada Dost XL series; Q1 FY27 Vahan share was 13.2% (+30 bps). The annual report notes LCV price recovery was not achieved in FY26.
- **Fleet versus retail buying.** Retail buyers acted first after GST; bulk buyers joined from January and were by February projecting three to four quarters of purchases (CEO).

5. Regulation and legal matters

5.1 Regulation that matters to the numbers

Item	What our sources say	Effect on Ashok Leyland
GST 2.0 (Sep 2025)	Rate on commercial vehicles cut from 28% to 18%, lowering prices by about 10%	Demand trigger; M&HCV industry +21% in Q3 and Q4 FY26; the biggest single driver of FY26 H2
AC cabin mandate (Oct 2025)	Mandatory for M&HCV trucks; transition went smoothly (Q2 call)	Cost increase absorbed; "price recovery on domestic M&HCV improved, but could not be achieved in LCV" (annual report); pre-buy lifted Q2
CPCB IV+ emission norms	Enforced for industrial engines; accelerates replacement of older engines	Supports Power Solutions growth; compliant platforms favoured
Vehicle scrappage	Mandatory scrappage of government vehicles listed as an opportunity; AL Harit platform signed four franchisee partners for registered scrappage facilities (Q2 call)	Replacement demand; small direct revenue
Labour codes (Q3 FY26)	One-time charge of ₹308 cr (₹308.48 cr in the annual report) recorded as an exceptional item	Cut FY26 reported PAT; PAT before exceptional items ₹3,914 cr (CEO)
Emission roadmap	CEO opinion (Q1 FY27 call): BS7 not before 2031–32	Removes a near-term pre-buy/cost shock; opinion, not a regulation
EV policy and PLI	Company still working to meet PLI thresholds; update expected within 4–5 months of May 2026 (Q4 call); subsidy alignment lengthens e-bus decisions	Upside to Switch and battery economics if qualified
Finance-subsidiary approvals	RBI cleared the HLF merger process (Q2 FY26); NCLT approval pending after Q1 FY27	Timing risk for the HLF listing
Union Budget FY27 and trade	CEO called the budget pro-growth; India–EU FTA concluded; resolution of India–US tariff deadlock (Q3 call)	Supportive for demand and for export-linked sentiment

5.2 Legal and compliance matters

The annual reports include the board report, corporate governance report, secretarial audit and business-responsibility report. They state that no application is pending under the Insolvency and Bankruptcy Code and that there were no one-time settlements with banks or financial institutions (FY25 report), that four sexual-harassment complaints were received and resolved in FY25, and that the company met the specific internal-financial-control requirements of the Companies Act. The FY26 audited standalone accounts (Note 3.9) show claims against the company not acknowledged as debts of ₹342.87 cr at March 2026 (₹368.26 cr a year earlier, our sum of the listed items), mostly sales tax, VAT and GST disputes of ₹232.34 cr; Section 8.9 gives the detail. Management says the outcome of existing claims is not expected to have a material adverse effect. The FY26 Annual Return is a separate scanned image we could not read. Related-party transactions with the Switch and OHM subsidiaries are approved by shareholders each year (the FY24 annual-report notice sought approval for FY25 transactions with Switch estimated at ₹4,000–5,000 cr and between Switch and OHM at ₹2,000–3,000 cr; these are approval ranges, not forecasts).

5.3 Corporate-governance observations

- The chairman is an executive director (Dheeraj G. Hinduja); the lead independent director chairs the audit and ESG committees.
- Promoters hold 51.10% and have not changed materially across the documents we read (51.1% in both Motilal Oswal and the annual report).
- The FY24 AGM notice names the directors interested in the Switch and OHM related-party resolutions through their directorships there (Dheeraj G. Hinduja, Shom Hinduja, Dr V. Sumantran and Gopal Mahadevan).
- Dividend history is generous relative to earnings: ₹3.50 per share in FY26 (about 58% of reported PAT on our arithmetic), after ₹6.25 pre-bonus in FY25 and ₹4.95 in FY24.

6. Annual report analysis (FY24, FY25, FY26)

6.1 FY24 annual report: the margin step-up year

The FY24 report (the company's 75th year) records the best performance across all product lines at the time: 116,069 domestic M&HCVs with market leadership in buses; 66,633 LCVs and a move to No. 2 in the 2–3.5 tonne segment; 11,853 exports (+5.0%, when India's overall CV exports fell 16.3%); 32,374 engines (+41.2%); and aftermarket growth of 28.0%. Revenue was ₹38,367 cr (+6%) and EBITDA ₹4,607 cr (+57%), with PAT of ₹2,618 cr. More than 30% of sales came from newly launched products, and the Switch subsidiary had more than 950 buses on the road globally.

6.2 FY25 annual report: record cash

Revenue edged up 1% to ₹38,753 cr, EBITDA margin rose to 12.7% (₹4,931 cr), PAT rose 26% to ₹3,303 cr and the company moved from net debt of ₹89 cr to net cash of ₹4,242 cr, helped by a ₹3,741 cr working-capital release (operating cash flow ₹7,819 cr against ₹2,503 cr). Quarterly EBITDA margin rose from 10.6% in Q1 to 11.6%, 12.8% and 15.0% in Q4. The FY25 report records that M&HCV trucks ex-defence fell 5.2% to 91,960 units while buses rose 18.3% to 21,249; exports reached a record 15,255 (+29%); Switch India reached EBITDA break-even (452 e-buses, 1,028 e-LCVs, order book 1,759). Ratios: interest cover 34.95x, RoNW 27.8% (30.8% in FY24).

6.3 FY26 annual report: all-time highs, with a labour-code charge

Revenue rose 13.6% to ₹44,007 cr; EBITDA margin 13.03% (12.72%); PBT before exceptional items ₹5,162.5 cr (+21.6%); exceptional charge of ₹348.5 cr (of which ₹308.5 cr labour codes) against a ₹103.7 cr exceptional gain in FY25; PAT ₹3,565.5 cr (+7.9%). Because FY25's PAT included the exceptional gain and FY26's the charge, reported PAT growth (7.9%) understates operating growth: the company's net margin before exceptional items rose from 8.26% to 8.89%, which on net sales is about ₹3,201 cr in FY25 and ₹3,912 cr in FY26 (our arithmetic; the CEO quoted ₹3,914 cr), roughly +22%. Capex was ₹1,050 cr; ₹386 cr was invested in subsidiaries; dividends paid in FY26 were ₹1,835 cr. RoNW (before exceptional items) was 29.85% and interest cover 62.5x.

₹ crore (standalone)	FY24	FY25	FY26	FY26 vs FY25
Net sales	38,367.03	38,752.74	44,007.03	+13.6%
EBITDA (company)	4,607	4,931	5,732	+16.2%
EBITDA margin	12.01%	12.72%	13.03%	+31 bps
Profit before tax	3,792.18	4,348.29	4,814.02	+10.7%
Tax	1,174.31	1,045.00	1,248.49	+19.5%
Profit after tax	2,617.87	3,303.29	3,565.53	+7.9%
EPS, as reported (₹)	8.92	11.25 (₹5.62 post-bonus)	6.07 (post-bonus)	+8.0% (post-bonus basis)
Dividend per share (₹)	4.95 (pre-bonus)	6.25 (pre-bonus)	3.50 (post-bonus)	Equal to ₹7.00 pre-bonus
Vehicles sold	194,555	195,097	220,437	+13.0%
RoNW (before exceptional)	30.8%	27.8%	29.85%	+2.1 pp
Interest cover	24.4x	35.0x	62.5x	

Source: annual reports FY25 and FY26 (MD&A tables and ten-year tables); EBITDA FY24 and FY25 from the AGM transcript, FY26 from the Q4 call and BP Equities (₹5,732 cr = 13.03% of ₹44,007 cr). Growth rates are our arithmetic.

6.4 What the three reports tell us together

- **Volume was flat for two years and then jumped.** Vehicle sales were 194,555 (FY24), 195,097 (FY25) and 220,437 (FY26): profit growth in FY24–FY25 came from margin and mix, in FY26 from volume plus margin.
- **Mix moved toward non-truck streams.** Engines rose from 32,374 to 32,930 and 36,351 (ten-year table) and spare parts and others from ₹3,469 cr to ₹3,978 cr and ₹4,450 cr.
- **Cash flow is lumpy.** Operating cash flow was ₹2,503 cr, ₹7,819 cr and ₹4,792 cr in FY24, FY25 and FY26: working capital is a swing factor of ±₹1,500–3,700 cr a year, so we do not extrapolate any single year.
- **The stock-level numbers changed with the bonus.** Shares doubled in July 2025, so FY24 and FY25 per-share numbers must be halved to compare with FY26; we have done so throughout and say so in each table.
- **The FY26 report is more cautious than the FY25 report on outlook.** It calls FY27 "disciplined, consolidation-led growth" and lists West Asia, tariffs, commodity inflation, tightening retail finance and delayed government capex as threats.

6.5 Management language across the three reports

- FY24 report (chairman): "all-time best performance across all the product lines, and business units", driven by "superior products backed by singular focus on customer service and the all-round cost reduction".

- FY25 report (MD&A): operating margin rose each quarter from 10.6% to 15.0%; domestic price recovery improved only in Q4 and in LCV only from Q4; softer steel helped.
- FY26 report (MD&A): commodity costs "hardened during the later half"; AC regulations raised costs; "price recovery in LCV could not be achieved"; other businesses "mitigate the fixed costs significantly thereby reducing the pressure on MHCVs".
- Across the three, the company's own explanation of margin has shifted from cost reduction and softer steel (FY24–FY25) to price recovery against hardening commodities (FY26). That is the same transition the Q1 FY27 numbers show.

7. Earnings-call analysis

We read five earnings-call transcripts, from Q1 FY26 (August 2025) to Q1 FY27 (August 2026), plus the AGM. For each we record what management said, what the numbers were and what happened next. Where management gave a forecast, Section 7.6 checks it against the outcome.

7.1 Q1 FY26 call (August 2025): a flat top line, rising margin

Revenue was ₹8,725 cr (+1.5%), EBITDA ₹970 cr (+6.4%) at an 11.1% margin and PAT ₹594 cr (+13%); material cost was 70.6% of revenue. Domestic M&HCV volume excluding defence rose 2% to 25,641 with a 31.1% share, domestic LCV sales were 15,566 (Vahan share 12.9%) and exports grew 29% to 3,011. Net cash was about ₹800 cr against net debt of about ₹1,200 cr a year earlier. Management said capacity utilisation was about 70%, defence orders in hand exceeded ₹1,000 cr with a further ₹2,000 cr tender pipeline, fully-built bus capacity was being raised from about 950 to 1,650 a month, and the Optare/Switch UK manufacturing business was being closed. OHM operated 850 e-buses; HLF AUM was ₹50,430 cr and HHF ₹14,265 cr. At that point management guided M&HCV industry growth for FY26 in the mid-single digits.

7.2 Q2 FY26 call (12 November 2025): GST optimism

Revenue ₹9,588 cr (+9.3%), EBITDA ₹1,162 cr (+14.2%, 12.1% margin), PAT ₹771 cr; material cost 71.2%, flat despite tariff volatility and the AC-cabin cost. Net cash was about ₹1,000 cr, and the Board declared an interim dividend of ₹1. The CEO said the October industry growth (M&HCV +7%, LCV +15%) was "very optimistic", that H2 would be "much better than H1", and that higher freight demand was "a bigger factor than the price cut" itself. He restated the goal of "mid-teen EBITDA in the mid-term", a plan to reach 20,000+ bus bodies a year, and that Switch India was on course for free-cash-flow positive in FY27. H1 numbers: M&HCV share 31% (+50 bps), exports +38%.

7.3 Q3 FY26 call (11 February 2026): the GST quarter

Revenue ₹11,534 cr (+21.7%), EBITDA ₹1,535 cr (+26.7%, 13.3%), PBT before exceptional items ₹1,373 cr (+38%) and PAT before exceptional items ₹1,105 cr (+45%), after a one-time labour-code charge of ₹308 cr. Material cost rose to 72.2% (+70 bps year on year, +100 bps sequentially) on mix and non-ferrous commodities. Domestic M&HCV volume grew 23.4%; LCV 20,518 (+30%); exports 4,965 (+20%). Net cash was ₹2,619 cr. The CEO said bulk buyers had joined retail buyers in January, said it could be "a start of a new replacement cycle", and pointed to the pro-growth FY27 Union Budget, the India–EU FTA and the resolution of the US tariff deadlock.

7.4 Q4 FY26 call (28 May 2026): record year and first warnings

Revenue ₹14,161 cr (+19%), EBITDA ₹2,066 cr (+15.3%, 14.6%), PAT before exceptional items ₹1,405 cr (+13%). Full-year revenue ₹44,007 cr, EBITDA margin 13% ("we have now truly entered the teen bracket"), net cash ₹5,899 cr and a second interim dividend of ₹2.50. The call turned on four issues: (1) diesel prices (+₹7) and pockets of shortage, which the CEO said had not changed fleet owners' plans; (2) commodities: steel-led increases would be "a challenge" in Q1 but management declined to quantify them; (3) mix: ICVs outgrew heavy trucks; (4) no operating leverage in Q4 because executive bonus provisions were booked once thresholds were crossed. Guidance: FY27 capex ₹750–1,000 cr, investment in subsidiaries on a need basis, defence order book above ₹1,500 cr, the HLF reverse merger within one to two quarters, and the CEO's view that Q1 FY27 industry volume would beat Q1 FY26.

7.5 Q1 FY27 call (August 2026): volume record, margin dip

Revenue ₹9,634 cr (+10.4% year on year; −32% against Q4), EBITDA ₹970 cr (flat) at 10.1%, PBT ₹830 cr (+4%), PAT ₹609 cr (+2.6%); material cost 71.5% (+90 bps). Total volume was 48,673, a record Q1: M&HCV trucks 22,998 (+15%), LCV 18,874 (+21%), exports 2,461 (−18%, because the Ras Al Khaimah plant ran below capacity in April–May). Aftermarket +12.7%, Power Solutions +51%, defence +64%. Net cash was ₹2,252 cr (+₹1,431 cr year on year). Capex was ₹153 cr. Management's points: commodity pressure peaks in Q2, softens in Q3, turns in Q4; cumulative price hikes about 2.25% (M&HCV) and over 3.5% (LCV), with more hikes and discount optimisation to come; opening inventory rose from about 6,500 to 8,500 vehicles and 20–25% of Q1 raw material came from opening stock priced earlier; some costs were capitalised into inventory; staff cost to rise 4–5% sequentially from July increments; break-even now 1,000–1,500 trucks a month; capex ₹900–1,000 cr a year rising over two to three years; Optare debt repaid GBP 25 mn in FY27 and GBP 25 mn in FY28; RAK output 600 units rising to 800 at peak; Saudi plant being accelerated; BS7 not before 2031–32 (CEO opinion); medium-bus share targeted to rise from 15% to about 25%.

7.6 Did management deliver? Guidance versus outcome

Said (call)	Outcome	Read-across
M&HCV industry growth mid-single-digit for FY26 (Q1 FY26)	Domestic M&HCV +12.9% (SIAM, annual report)	Beat: guidance was cautious
H2 FY26 "much better than H1" (Q2 call)	Q3 industry +21.5%; Q4 +18.9% (CV)	Delivered
Mid-teen EBITDA margin "in the mid-term" (Q2 call)	FY26 13.0%; Q4 FY26 14.6%; Q1 FY27 10.1%	Partly; the margin is seasonal and cost-sensitive
Switch India free-cash-flow positive in FY27 (Q2, Q3 calls)	Switch India turned PAT-positive in FY26 (~₹100+ cr)	On track so far; FY27 outcome pending
HLF reverse merger "within this or next quarter" (Q4 call)	After Q1 FY27: awaiting NCLT	Slipped
Q1 FY27 industry volume better than Q1 FY26 (Q4 call)	Record Q1 volume of 48,673; trucks +15%, LCV +21%	Delivered
RAK plant back to 100% in "a few weeks" (Q4 call)	Q1 FY27: exports −18%; output 600 units/month, targeting 700–800	Slower than said
FY27 capex ₹750–1,000 cr (Q4 call)	Q1 capex ₹153 cr; later guided ₹900–1,000 cr a year rising	Top of range
Q1 margin pressure from steel, no number given (Q4 call)	EBITDA margin 10.1% (−100 bps year on year)	Pressure was real

Our read: operating guidance (industry volume, H2 demand) has been conservative and beaten; corporate-action timing (HLF merger) and ramp-ups (RAK) have slipped; and margin guidance has been honest about direction but not magnitude. We therefore give more weight to management's volume statements than to its timing statements, and we assume the Q2 FY27 margin is the low point only as far as the company says so.

7.7 Notable analyst questions and the answers

Call / analyst (firm)	Question	Answer in brief
Q2 FY26 / Kapil Singh (Nomura)	Full-year outlook; will large fleets hold back because of input-tax-credit?	H2 "much better than H1"; some apprehension among organised fleets but price cut (~10%) and higher freight demand are larger factors
Q3 FY26 / Gunjan Prithyani (BofA)	Is post-GST demand just bunching?	Retail moved first, bulk buyers joined in January and are projecting 3–4 quarters; fleet age up from 7–7.5 to 10–10.5 years
Q4 FY26 / Kapil Singh (Nomura)	Demand after diesel hikes; FY27 outlook; export outlook	No significant slowdown in May; GST and replacement protect the baseline; exports may fall in Q1 on logistics and RAK production cut
Q4 FY26 / Kapil Singh (Nomura)	Price hike and commodity pressure	~1% hike since January fully recovered in Q4; savings exceeded commodity increase; Q1: 1–1.5% hike vs a "significant" steel increase; no number given
Q4 FY26 / Mumuksh Mandlesha (Anand Rathi)	Retail vs fleet mix; capex and investments	Heavy trucks 55–60% retail; no price rise Oct–Mar; FY27 capex ₹750–1,000 cr; GBP 30 mn of GBP 80 mn Optare loan repaid
Q4 FY26 / Binay Singh (Morgan Stanley)	Net cash jump from ₹2,600 cr; non-truck revenue; battery plans	Seasonal payables ("compare with last year": +₹1,650 cr); spares ~₹3,800 cr, power ~₹1,400 cr, exports ~₹3,200 cr; battery packs first, cells later; PLI update in 4–5 months
Q4 FY26 / Pramod Kumar (UBS)	Downside case for industry growth; margin outlook	Would not "hazard a guess"; customers sticking to plans; diesel +₹7 manageable, ₹10–15 too; controllable vs non-controllable costs, cross-functional cost teams
Q4 FY26 / Amyn Pirani (JP Morgan)	Why no Q4 operating leverage; other costs next year	Executive-bonus provision booked in Q4 plus commodities; freight, conversion costs and rupee could lift other expenses; industry price discipline expected
Q4 FY26 / Raghunandhan NL (Nuvama)	Segment outlook; defence	Tippers, multi-axle and trip trailers fastest; defence order book above ₹1,500 cr; "20%" growth trend
Q4 FY26 / Vipul Agrawal (HSBC)	Market share stagnation vs new launches	Share has risen since FY22; lost share in a few segments from late high-horsepower launches; impact from Q2 FY27
Q4 FY26 / Sridhar Kalyani (Antique)	Defence execution timing; ICV/LCV moderation; geography	Orders deliver over 1–3 years; ICV/LCV moderate from Q4 highs, heavy trucks pick up; mining and infrastructure states strongest

Source: call transcripts (edited for readability by the company). Answers are summarised by us; quoted phrases are verbatim.

8. Financial analysis

8.1 Profit and loss, FY25 and FY26

₹ crore (standalone)	FY25	FY26	Change	% of sales FY26
Net sales	38,752.74	44,007.03	+13.6%	100.0%
Material cost	27,622.78	31,417.14	+13.7%	71.4%
Employee benefits	2,406.27	2,606.69	+8.3%	5.9%
Other expenses	3,793.13	4,250.95	+12.1%	9.7%
Operating EBITDA (derived)	4,930.56	5,732.25	+16.3%	13.0%
Other income	250.25	315.17	+25.9%	0.7%
Depreciation	719.34	715.19	−0.6%	1.6%
Finance cost	216.91	169.73	−21.7%	0.4%
Profit before exceptional items and tax	4,244.56	5,162.50	+21.6%	11.7%
Exceptional items	103.73	(348.48)		−0.8%
Profit before tax	4,348.29	4,814.02	+10.7%	10.9%
Tax	1,045.00	1,248.49	+19.5%	2.8%
Profit after tax	3,303.29	3,565.53	+7.9%	8.1%
EPS (₹, post-bonus)	5.62	6.07	+8.0%	

Source: audited standalone statement of profit and loss, annual report FY26 (agrees with MD&A Annexure F). EBITDA derived as net sales less material, employee and other expenses (matches the company's 12.72% and 13.03% margins). Effective tax rate: 24.0% in FY25, 25.9% in FY26 (our arithmetic).

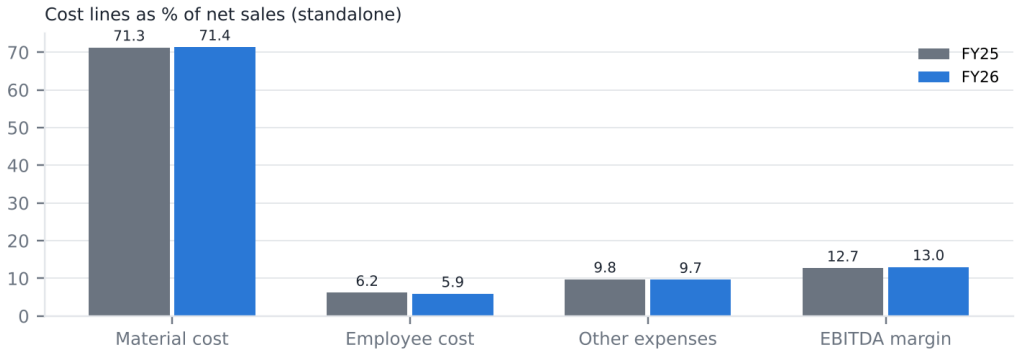


Figure 9: Cost lines as a percentage of net sales, FY25 vs FY26. Source: annual report FY26 MD&A; our arithmetic. Employee cost leverage (−0.3 pp) and other-expense leverage (−0.1 pp) more than offset a 0.1 pp rise in material cost.

The FY26 margin gain of 31 bps came from operating leverage on employee cost (6.2% to 5.9% of sales) and other expenses (9.8% to 9.7%), not from gross margin: material cost rose from 71.3% to 71.4% of sales. Finance cost fell 21.7% as borrowings fell, and interest cover rose to 62.5x. The tax rate rose to 25.9% from 24.0%.

8.2 The quarterly pattern

₹ crore (standalone)	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
Revenue	8,725	9,588	11,534	14,161	9,634
EBITDA	970	1,162	1,535	2,066	970
EBITDA margin	11.1%	12.1%	13.3%	14.6%	10.1%
Material cost % of revenue	70.6%	71.2%	72.2%	71.4%	71.5%
PAT (as stated on the call)	594	771	1,105*	1,405*	609
Capex	241†	417	186	203	153

Source: earnings-call transcripts. *Before exceptional items (labour-code charge of ₹308 cr in Q3). †Derived: H1 FY26 capex ₹658 cr less Q2 ₹417 cr. The four FY26 quarters sum to ₹44,008 cr of revenue and ₹5,733 cr of EBITDA, matching the full-year figures within rounding.



Figure 10: EBITDA margin by quarter, FY25 vs FY26, with Q1 FY27. Source: FY25 annual report MD&A (FY25 quarters) and call transcripts. Q4 is the seasonally strongest quarter in both years.

The seasonality matters for reading Q1 FY27. Q1 is the weakest quarter in both years shown (10.6% in FY25, 11.1% in FY26); Q1 FY27's 10.1% is 100 bps below Q1 FY26, whereas the full-year margin gains were 70 bps (FY25) and 31 bps (FY26). That is why we model FY27E at 11.8%: below FY26 on the early-year cost squeeze, and below the 12.4–12.5% that Motilal Oswal and BP Equities use.

8.3 Balance sheet

₹ crore (standalone)	Mar-25	Mar-26
Property, plant, equipment, CWIP, right-of-use, intangibles	6,270	6,869
Non-current investments (largely subsidiaries)	5,654	6,559
Non-current assets, total	13,193	13,932
Inventories	2,958	3,486
Current investments	3,019	4,120
Trade receivables	2,887	2,950
Cash and bank balances	2,706	2,977
Current assets, total	12,309	14,662
Total assets	25,526	28,594
Equity (share capital 294 → 587; other equity 11,225 → 12,526)	11,519	13,113
Non-current liabilities (incl. borrowings and leases 946 → 558)	2,576	2,154
Trade payables	7,305	8,329
Other current liabilities and provisions	2,362	2,984
Current liabilities, total	11,426	13,327

Source: annual report FY26 audited standalone balance sheet (₹ crore). "Non-current investments (largely subsidiaries)" is itemised in Note 1.3 (see Section 8.9). Our arithmetic from the balance sheet: cash and cash equivalents 2,031 + other bank balances 946 + current investments 4,120 − borrowings 1,152 (518 non-current + 634 current) − lease liabilities 43 = ₹5,902 cr at March 2026, against the company's ₹5,899 cr; the same method gives ₹4,243 cr at March 2025 against the company's ₹4,242 cr. The company's exact definition is not stated in the passages we used, so we quote its figures in the chart and treat our reconstruction as a cross-check.

Working capital. Year-end balances against net sales give (our arithmetic) inventory of 29 days of sales (FY25: 28), receivables 24 days (27) and trade payables 69 days (69). Payables exceed inventory and receivables combined, which is why growth releases cash and why a slowdown or a payables normalisation would absorb it. Trade payables rose ₹1,024 cr in FY26 while sales rose ₹5,254 cr.

Capital structure. Equity of ₹13,113 cr gives a book value of ₹22.33 per share and a price-to-book multiple of 6.7x at ₹148.91. Debt-to-equity (net) is nil, per the annual report. Non-current investments of ₹6,559 cr (₹11.2 per share at book) are mainly stakes in subsidiaries; our DCF does not include them (Section 11).

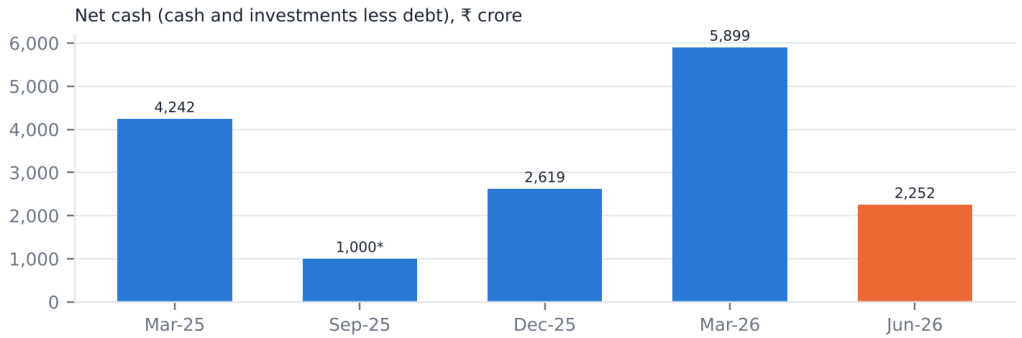


Figure 11: Company-defined net cash at five dates. Sources: annual report FY25 and AGM (Mar-25), Q2 FY26 call (Sep-25, "roughly ₹1,000 cr"), Q3, Q4 and Q1 FY27 calls. *approximate. The swing between March and June reflects payables peaking in April–May after a busy Q4.

8.4 Cash flow

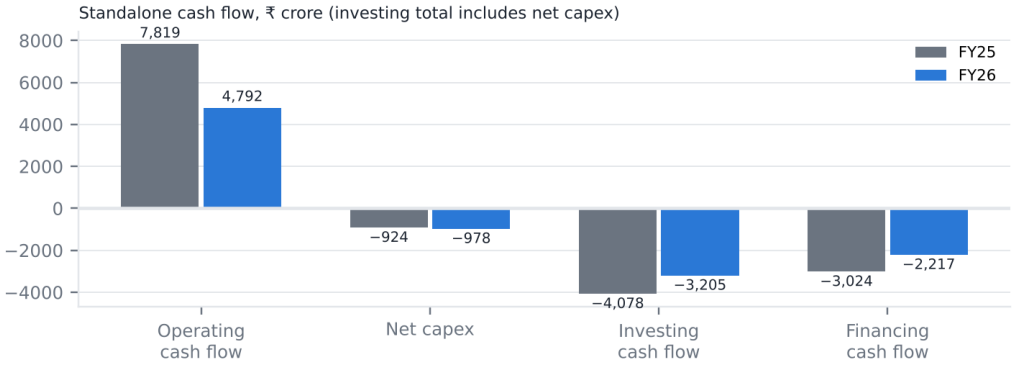


Figure 12: Standalone cash flow, FY25 vs FY26. Source: audited standalone cash-flow statements, annual reports FY26 and FY25. Investing is the audited total and includes net capex. Net cash inflow was +₹718 cr in FY25 and −₹630 cr in FY26.

Operating cash flow was ₹4,792 cr in FY26, down from ₹7,819 cr because FY25 included a ₹3,741 cr working-capital release against ₹414 cr in FY26. After net capex of ₹978 cr, free cash flow (our arithmetic) was about ₹3,814 cr in FY26 (₹6,895 cr in FY25), or 4.4% of today's market capitalisation. Dividends paid were ₹1,835 cr. Investing outflows were ₹3,205 cr (FY25: ₹4,078 cr) in the audited cash-flow statement, of which net capex was ₹978 cr; the remainder was mainly net purchases of current investments (₹1,005 cr), purchases of non-current investments (₹386 cr) and a ₹900 cr investment in bank deposits, partly offset by ₹58 cr of interest received. Inter-corporate deposits of ₹2,390 cr were given and repaid in the year. (The MD&A table shows ₹2,227 cr, which is the audited ₹3,205 cr less net capex of ₹978 cr, our arithmetic.)

8.5 Returns and shareholder payouts

- Return on net worth (before exceptional items): 30.8% (FY24), 27.8% (FY25), 29.85% (FY26), per the company. BP Equities shows RoE of 29.7%, 28.7% and 27.4% and RoCE of 36.8%, 32.5% and 35.3% for FY24–FY26; the definitions differ.
- Dividends: ₹1 (11 November 2025) plus ₹2.50 (28 May 2026) = ₹3.50 per share for FY26, a yield of 2.4% at ₹148.91 and a payout of about 58% of reported PAT (our arithmetic: ₹3.50 × 587.39 cr shares ÷ ₹3,565.53 cr).
- The company also issued 1:1 bonus shares in July 2025, doubling the share count; the AGM chairman said the Board "is very much aware" of shareholder-return expectations.
- Credit ratings: CARE AA+ Stable (long term), A1+ (short term); ICRA AA+ Stable, A1+.

8.6 Quality of earnings

- Other income was ₹315 cr, 6.1% of PBT before exceptional items; the quarterly commentary links the Q4 rise to returns on surplus funds.
- Exceptional items distort year-on-year PAT: a ₹103.7 cr gain in FY25 and a ₹348.5 cr charge in FY26. We therefore base our valuation on estimates that do not include exceptional items.
- Operating cash flow depends on working capital: ₹2,503 cr, ₹7,819 cr and ₹4,792 cr in FY24–FY26 against PAT of ₹2,618 cr, ₹3,303 cr and ₹3,566 cr. Cash conversion above 100% in two of three years looks, in our reading, partly like a payables effect.
- The company capitalised some costs into inventory in Q1 FY27 (CFO), which, in our reading, supports Q1 profit and would reverse as that inventory is sold.

8.7 Quarterly operating data

Quarter	LCV domestic	YoY	Exports	YoY	Revenue YoY	EBITDA YoY
Q1 FY26	15,566	–	3,011	+29%	+1.5%	+6.4%
Q2 FY26	17,697	+6.4%	4,784	+45%	+9.3%	+14.2%
Q3 FY26	20,518	+30%	4,965	+20%	+21.7%	+26.7%
Q4 FY26	21,801	+23%	5,322	marginally lower	+19%	+15.3%
Q1 FY27	18,874	+21%	2,461	−18%	+10.4%	flat

Source: Q1 FY26–Q1 FY27 call transcripts. Q1 FY26 LCV growth was not stated in our extract (shown as –).

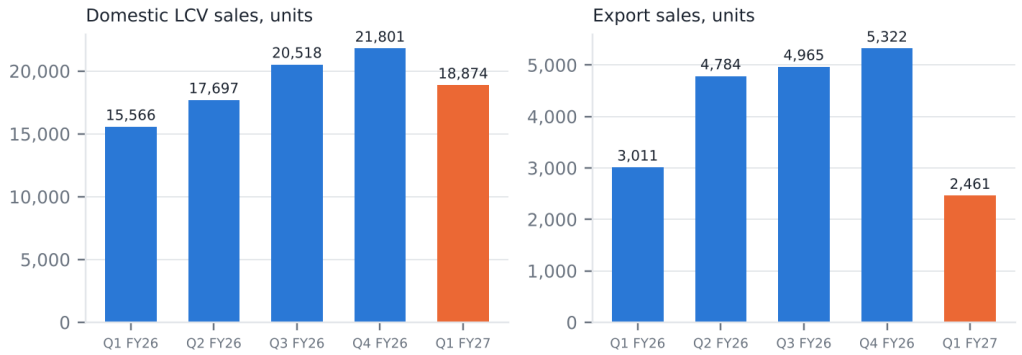


Figure 17: Domestic LCV and export sales by quarter. Source: call transcripts. Exports fell in Q4 FY26 (international logistics, March) and Q1 FY27 (RAK plant, April–May).

8.8 Consolidated view and the finance business

Our forecasts and valuation use the standalone accounts. The audited consolidated statements show how much larger the group is once the finance subsidiaries are included, and why we say that the standalone share price omits value held in subsidiaries.

₹ crore	FY25	FY26	Change
Revenue from operations, standalone	38,752.74	44,007.03	+13.6%
Revenue from operations, consolidated	48,535.14	56,362.08	+16.1%
of which commercial vehicles (segment)	42,333.28	48,313.71	+14.1%
of which financial services (segment)	6,202.98	8,049.34	+29.8%
Profit after tax, standalone	3,303.29	3,565.53	+7.9%
Profit after tax, consolidated	3,382.79	3,720.98	+10.0%
attributable to owners of the company	3,106.80	3,471.03	+11.7%
attributable to non-controlling interests	275.99	249.95	−9.4%
Segment result, commercial vehicles	3,688.97	4,379.32	+18.7%
Segment result, financial services	899.23	949.58	+5.6%
Total assets, standalone	25,525.83	28,593.66	+12.0%
Total assets, consolidated	81,714.64	1,01,040.74	+23.7%

Source: annual report FY26, audited standalone and consolidated statements and consolidated Note 3.8 (segments). Change column is our arithmetic. Financial-services segment assets were ₹72,178 cr of the ₹1,01,041 cr consolidated total. Consolidated PAT includes a share of profit of associates and joint ventures of ₹51.62 cr and exceptional items of −₹384.44 cr.

FY26, ₹ crore (AOC-1)	Turnover	Profit/(loss) after tax	Net worth*	Company holding
Hinduja Leyland Finance and its subsidiaries	8,051.21	877.37	10,504.82	61.12%
Optare Plc and its subsidiaries**	1,931.18	(148.26)	130.78	93.28%
OHM Global Mobility	273.77	(35.69)	262.80	100.00%
Hinduja Tech and its subsidiaries	867.04	(205.05)	358.52	72.93%
Albonair GmbH and its subsidiary	371.25	(10.61)	11.79	100.00%

Source: annual report FY26, Form AOC-1 (consolidated financial statements). *Net worth is share capital (including share application money) plus other equity as listed in AOC-1, our sum. **The AR lists this row under the Optare name; the auditors' key audit matter calls Optare Plc and its subsidiary Switch Mobility Automotive Limited the "Optare group".

HLF and its subsidiaries earned ₹877 cr after tax, of which the parent's 61.12% share is about ₹536 cr (our arithmetic), against a standalone PAT of ₹3,566 cr for the parent itself. The message to shareholders in the annual report gives HLF PAT of ₹491 cr and HHF PAT of ₹387 cr; the two add to ₹878 cr, consistent with the AOC-1 total. The parent carries its HLF stake at a cost of ₹2,131.16 cr (Note 1.3), while 61.12% of HLF group net worth of ₹10,504.82 cr is about ₹6,421 cr (our arithmetic). That gap is why we describe the subsidiaries as the largest omitted upside; we do not put a value on it, because we do not value finance companies here. The loss-making units are Optare/Switch (−₹148 cr), OHM (−₹36 cr) and Hinduja Tech (−₹205 cr), together −₹389 cr at 100% (our sum), which the parent has supported through investments and guarantees (Section 8.9).

8.9 Notes to the standalone accounts: investments, guarantees and contingencies

Non-current investment (Note 1.3), ₹ crore	Mar-25	Mar-26
Optare Plc (ordinary shares, at cost)	2,130.89	3,000.23
Hinduja Leyland Finance	2,131.16	2,131.16
Albonair GmbH (fully impaired, shown in the gross total)	460.09	460.09
OHM Global Mobility	300.00	300.00
Hinduja Tech	167.57	167.57
Switch Mobility Automotive (deemed equity)	129.60	129.60
Preference shares (mainly Switch Mobility Automotive ₹233.05 cr)	239.69	297.03
Impairment in value of investments	(522.82)	(527.42)
Total non-current investments (balance sheet)	**5,654.26**	**6,559.29**

Source: annual report FY26, Note 1.3. Not every line is shown, so the lines above do not sum to the total. Optare ordinary-share cost rose by ₹869.34 cr in FY26 (our arithmetic); at March 2025 a further ₹498.76 cr was paid as application money in Optare (Note 3.9.1).

Standalone, ₹ crore	Mar-25	Mar-26
Sales tax, VAT and GST claims not acknowledged as debts	260.03	232.34
Excise duty	9.03	8.92
Service tax	59.36	24.06
Customs duty	0.43	0.41
Others	39.41	77.14
Total claims not acknowledged as debts (our sum)	368.26	342.87
Guarantees availed for Switch Mobility Limited, UK	891.90	633.12
Guarantees availed for Albonair GmbH	128.93	152.59
Corporate guarantees to banks for subsidiaries' loans	1,021.58	785.71
Capital commitments, net of advances, not provided for	727.75	460.19

Source: annual report FY26, Notes 3.9, 3.9.1, 3.9.2 and 3.10. The corporate-guarantee line is as reported and may include the named guarantees above; we do not add them together. The claims are disputed on applicability and classification, and future outflows depend on pending decisions.

Several disclosures matter for risk. First, the company guarantees subsidiary borrowings: ₹633 cr for Switch Mobility Limited, UK and ₹153 cr for Albonair GmbH at March 2026, against ₹892 cr and ₹129 cr a year earlier (the Switch guarantee fell, the Albonair guarantee rose). Second, the notes list financial support to certain subsidiaries and joint ventures and a lock-in commitment in a shareholders' agreement as commitments whose outflow is "not practicable to ascertain". Third, the notes say that the End-of-Life Vehicles Rules 2025 create an obligation to buy extended-producer-responsibility certificates for vehicles sold up to 31 March 2026, but that no reliable estimate can be made until pricing and the operating mechanism are defined, so no provision is made. The company also says that further clarity is needed on the Supreme Court provident-fund judgment for periods before 31 March 2019, and that no provision is made because it expects no significant impact. We note all three as unquantified risks and do not model them.

9. Unit economics and segment analysis

9.1 Revenue, EBITDA and profit per vehicle

Per vehicle sold (₹ lakh)	FY24	FY25	FY26
Net sales (all revenue ÷ vehicles)	19.72	19.86	19.96
EBITDA	2.37	2.53	2.60
Profit after tax	1.35	1.69	1.62

Source: annual report ten-year tables and MD&A; our arithmetic. "Net sales per vehicle" divides all revenue, including spares, engines, defence and exports, by vehicles sold, so it is an average realisation indicator rather than a vehicle price. Motilal Oswal uses the same basis (₹19.96 lakh in FY26).

Revenue per vehicle was almost flat across three years (₹19.72 lakh, ₹19.86 lakh, ₹19.96 lakh), and EBITDA per vehicle rose from ₹2.37 lakh to ₹2.60 lakh. FY26's growth was volume-driven (+13.0%) with realisation up only 0.5%; we read this as the GST price cut and a mix tilt toward ICVs and LCVs (which the CEO mentioned) offsetting list-price increases. Our FY27E realisation assumption (+2.5% to ₹20.46 lakh) rests on the price hikes taken since April (about 2.25% in M&HCV and over 3.5% in LCV by Q1 FY27), tempered by mix.

9.2 Operating leverage

In FY26, net sales rose ₹5,254 cr and EBITDA rose ₹801 cr: an incremental EBITDA margin of 15.2% (our arithmetic), above the 13.0% average. In FY25 the same calculation gives an unusually high figure (EBITDA +₹324 cr on sales +₹386 cr) because revenue was flat while costs fell on softer steel and value engineering; that was a cost-led year, not a volume-led one. In Q4 FY26 operating leverage failed to show in staff and other costs (executive bonus provision and commodities), which is why the Q4 margin of 14.6% was below the 15.0% of Q4 FY25 despite higher revenue. The CFO's statement that break-even has fallen to 1,000–1,500 M&HCV trucks a month, from 6,000–7,000, means fixed costs are a much smaller part of the cost base than before; volume now matters less for margin than raw-material cost and mix.

9.3 Revenue streams

Stream (FY26)	Revenue (₹ cr)	Share of net sales	Growth / note
Spare parts (aftermarket)	~3,800 (CFO); 4,450 (annual report, "spare parts and others")	8.6% (CFO figure)	+12% (annual report); +9.5% (CEO, domestic aftermarket)
Exports	~3,200	7.3%	Volume +18.5%; Q4 ~₹1,100 cr vs ₹825 cr
Power Solutions (engines)	~1,400 (CFO); "above ₹1,000 cr" (annual report)	3.2%	+16.4% (CEO)
Defence (standalone)	~800 (₹1,200 cr with subsidiaries)	1.8%	Order book above ₹1,500 cr; ~20% growth trend

Two caveats. The annual report gives two aftermarket numbers: ₹3,782 cr of domestic spares (+8%) in one MD&A section, and ₹4,450 cr (+12%) in the aftermarket section and the ten-year table. The audited revenue note (Note 2.1) shows "spare parts and others" of ₹4,450.37 cr (FY25: ₹3,977.90 cr), so we use ₹4,450 cr as the reported revenue line and read the ₹3,782 cr as a narrower domestic figure (our reading; the MD&A does not define it). And these streams overlap with vehicle sales (exports include vehicles), so they do not sum to a complete segment split. On the Q4 call the CFO also gave quarterly numbers: Q4 FY26 spares ₹1,060 cr (₹950 cr a year earlier), engines ₹425 cr (flat), exports ₹1,100 cr (₹825 cr) and defence ₹275 cr (₹170 cr).

9.4 Subsidiary economics (as stated by the company)

- **Switch India:** 1,530 e-buses and 1,600 e-LCVs in FY26, first net profit (about ₹100+ cr), order book 1,600 at March 2026 and about 2,100 e-buses after Q1 FY27 (650 new orders in the quarter). Switch is targeted to be free-cash-flow positive in FY27.
- **OHM (e-MaaS):** buys vehicles and operates them under state-transport contracts, so it needs capital from the parent as it grows; fleet above 1,900 at June 2026 from 850 a year earlier, with GCC projects at double-digit IRR.
- **HLF and HHF:** AUM growth of 15–24%, net NPA about 1.4–1.6%; the CFO said their Tier-1 capital is sometimes low compared with peers and that the parent will have to invest. On the Q1 FY27 call HHF growth capital was an explicit use of funds.
- **What we do with this:** our DCF values the standalone operations and net cash; the P/E leg uses standalone EPS, which includes whatever dividends the subsidiaries pay up. We give no separate value to subsidiaries; Motilal Oswal adds about ₹10 per share for the NBFC. A separate sum-of-parts is the largest piece of upside our framework omits.

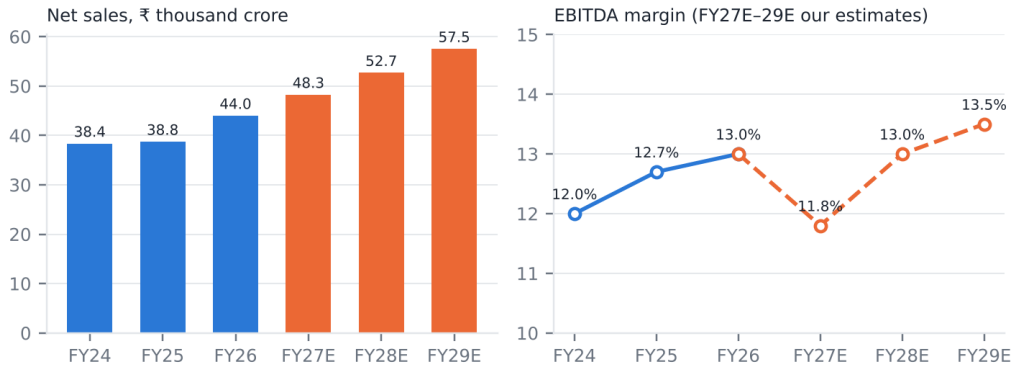


Figure 13: Net sales and EBITDA margin, FY24–FY29E (FY27E–FY29E are our estimates). Source: company data; our model.

9.5 Subsidiary scorecard by quarter

As stated on each call	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
HLF AUM (₹ cr)	50,430	52,635	56,470 (standalone)	~59,000	60,310
HHF AUM (₹ cr)	14,265	14,903	15,454	~16,000	16,157
Finance subsidiaries' PAT (₹ cr)	n/s	196	220	HLF 491 (FY); HHF 387 (FY)	HLF 123; HHF 69
OHM e-buses operating	850	>1,100	>1,400	>1,400	>1,900 (Jun-26)
Switch order book	n/s	1,650 buses	1,350 units	1,600 units	~2,100 e-buses
Switch volumes	n/s	~600 buses + ~600 e-LCV (H1)	850 buses + ~1,200 e-LCV (9M)	1,530 buses + 1,600 e-LCV (FY)	225 buses + ~300 e-LCV (Q1)

Source: call transcripts. n/s = not separately stated in the call extract we have. Switch order-book units and definitions vary by call (buses vs total units), so the row is a trend indicator only. Q4 FY26 HLF AUM and Q4 profit figures are the full-year values quoted on the call.

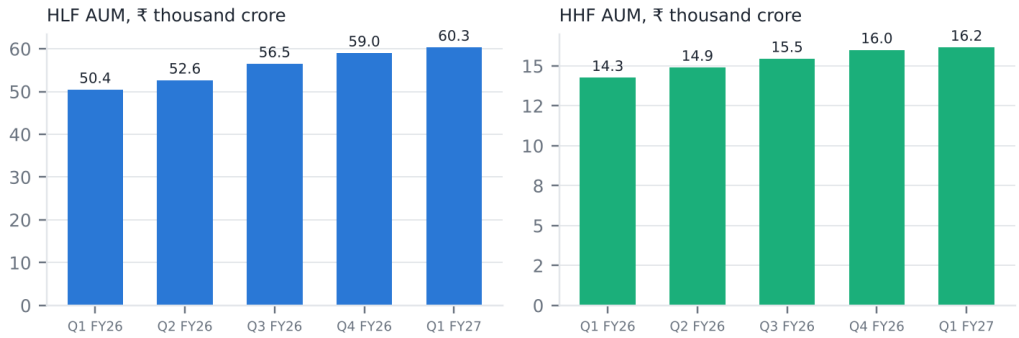


Figure 18: Finance-subsidiary AUM by quarter. Source: call transcripts. Q4 FY26 values are "approximately" ₹59,000 cr and ₹16,000 cr as stated. HLF growth: +24% in FY26, +20% year on year in Q1 FY27.

The AUM trend shows the growth the parent is funding indirectly: HLF AUM grew about 20% over the four quarters from Q1 FY26 to Q1 FY27 (₹50,430 cr to ₹60,310 cr, our arithmetic), and the CFO told the Q4 call the group would need to invest in HLF, HHF and OHM. That is the main use of the net cash that the market sees on the balance sheet.

10. Forecasts and scenarios

10.1 How we build the forecast

We forecast standalone Ashok Leyland on three drivers: vehicles sold, average revenue per vehicle (all revenue divided by vehicles, the basis Motilal Oswal also uses) and EBITDA margin. Everything below the EBITDA line is a simple assumption tied to FY26 actuals. All figures are our estimates and are not company guidance or consensus. We do not forecast exceptional items.

Driver	FY27E	FY28E	FY29E	Basis
Vehicle volume growth	+7.0%	+6.0%	+6.0%	Q1 FY27 record; management: FY27 M&HCV industry high single digit, LCV slightly better; Motilal Oswal +6.3% for FY27E
Revenue per vehicle growth	+2.5%	+3.0%	+3.0%	Price hikes of ~2.25% (M&HCV) and >3.5% (LCV) by Q1 FY27 against GST-driven mix to ICVs; FY26 was +0.5%
EBITDA margin	11.8%	13.0%	13.5%	Q1 FY27 10.1%, trough guided for Q2, recovery from Q3; FY26 13.0%; mgmt goal mid-teens "in the mid-term"
Depreciation (₹ cr)	760	810	860	FY26 ₹715 cr; capex ₹900–1,000 cr a year, rising
Other income (₹ cr)	300	320	340	FY26 ₹315 cr; treasury income on surplus funds
Finance cost (₹ cr)	170	170	170	FY26 ₹170 cr
Tax rate	25.5%	25.5%	25.5%	FY25 24.0%, FY26 25.9%
Dividend payout	55%	55%	55%	FY26 ~58% of reported PAT; Motilal Oswal 55.4% for FY27E
Share count (cr)	587.39	587.39	587.39	Annual report FY26; no issuance assumed

10.2 Our estimates

₹ crore (standalone)	FY26A	FY27E	FY28E	FY29E
Vehicles sold	220,437	2,35,868	2,50,020	2,65,021
Revenue per vehicle (₹ lakh)	19.96	20.46	21.08	21.71
Net sales	44,007	48,265	52,695	57,533
growth	+13.6%	+9.7%	+9.2%	+9.2%
EBITDA	5,732	5,695	6,850	7,767
margin	13.0%	11.8%	13.0%	13.5%
Depreciation	715	760	810	860
Other income	315	300	320	340
Finance cost	170	170	170	170
Profit before tax (before exceptional)	5,163	5,065	6,190	7,077
Profit after tax (FY26A reported: 3,566)	3,914*	3,774	4,612	5,272
EPS (₹)	6.67*	6.42	7.85	8.98
growth on FY26 reported EPS (₹6.07)		+5.8%	+22.2% (on FY27E)	+14.3% (on FY28E)
Dividend per share (₹)	3.50	3.53	4.32	4.94

Source: our model; FY26 actuals from the annual report MD&A and Q4 call. *FY26 PAT before exceptional items ₹3,914 cr (CEO), EPS ₹6.67 = ₹3,914 cr ÷ 587.39 cr shares (our arithmetic). Reported FY26 PAT was ₹3,565.53 cr (EPS ₹6.07). FY27E growth in EPS of 5.8% is measured against reported EPS; against pre-exceptional EPS (₹6.67) FY27E is about −3.6%.

FY27E in words. Sales rise 9.7% on volume (+7.0%) and price (+2.5%). EBITDA is flat at ₹5,695 cr (FY26: ₹5,732 cr) because margin falls 1.2 points. Arithmetically, the sales increase adds about ₹555 cr of EBITDA at the FY26 margin, and the lower margin takes away about ₹592 cr. EPS of ₹6.42 is below the pre-exceptional FY26 EPS of ₹6.67 but above the reported ₹6.07 because FY26 carried a ₹348 cr exceptional charge. FY28E has the recovery: margin of 13.0% (equal to FY26) on sales growth of 9.2% gives EPS of ₹7.85.

10.3 How we compare with the brokers in our folder

₹ crore	Ours FY27E	MOSL FY27E	BP FY27E	Ours FY28E	MOSL FY28E	BP FY28E
Net sales	48,265	47,460	48,290	52,695	53,910	52,910
EBITDA	5,695	5,900	6,035	6,850	7,540	7,049
EBITDA margin	11.8%	12.4%	12.5%	13.0%	14.0%	13.3%
Net profit	3,774	3,970	4,071	4,612	5,210	4,828
EPS (₹)	6.42	6.8	6.9	7.85	8.9	8.2

Source: Motilal Oswal (14-Aug-26; figures converted from ₹ billion; adjusted PAT) and BP Equities (18-Aug-26) tables; our model. Motilal Oswal also shows FY27E volume of 234,250 (+6.3%).



Figure 14: EPS estimates, ours vs the two brokers in the folder. Source: broker reports; our model.

We are below both brokers on margin in both years and, by FY28E, 12% below Motilal Oswal's EPS and 4% below BP Equities'. The main difference is margin recovery: Motilal Oswal has FY28E EBITDA margin at 14.0%, above the 13.0% reported in FY26 and 13.5% in our FY29E. We choose to cap the margin near what the company has actually delivered. If the margin were 14.0% in FY28E, our EPS would be ₹8.52 (Section 14.3). Neither broker updated for events after mid-August 2026.

11. Valuation

11.1 Method

We use two methods and weight them equally. **Discounted cash flow:** a 15-year free cash flow to the firm (FCFF) model for FY27E–FY41E with explicit volume, price, margin, capex and working-capital assumptions, a terminal value from FY41E, and net cash added at book value. We exclude other income from FCFF because we add cash separately. The model values the standalone company and gives no separate value to the subsidiaries (the book value of non-current investments is ₹6,559 cr, about ₹11 per share, which we show as a memo item but do not add). **Earnings multiple:** 20x our FY28E EPS of ₹7.85, as a 12-month-forward convention. We cross-check with EV/EBITDA and with the two brokers in our folder.

11.2 Cost of capital and other inputs

Input	Value	Source / comment
Risk-free rate	5.42%	10-year G-sec 7.29% less default spread 1.87%; same input as our Maruti Suzuki initiation (not from the folder)
Equity risk premium	7.08%	Damodaran, India, January 2026; same as our other reports (not from the folder)
Beta	1.15	Our assumption for cyclicality; not measured by us. Cross-check: stockanalysis.com shows a 5-year beta of 0.45 for NSE:ASHOKLEY (page updated 30-Sep-26); see the beta table below
Cost of equity	13.56%	5.42% + 1.15 × 7.08%
WACC	13.56%	Set equal to cost of equity: net cash and small borrowings
Terminal growth	5.0%	Our assumption (nominal ₹)
Tax rate on EBIT	25.5%	FY25 24.0%, FY26 25.9%
Net cash at valuation date	₹5,899 cr	March 2026 (Q4 call). June 2026 was ₹2,252 cr; see sensitivity below
Working capital	8% of incremental sales	Our assumption; FY26 release ₹414 cr, FY25 release ₹3,741 cr
Capex	₹950 cr, ₹1,050 cr, ₹1,150 cr FY27E–FY29E; 2.2% of sales to FY35E, 2.0% after	Management: ₹900–1,000 cr a year, rising over two to three years; FY26 ₹1,050 cr
Share count	587.39 cr	Annual report FY26
Valuation date	1-Apr-26, rolled forward 202 days to 19-Oct-26	12M value = today's value × (1 + cost of equity)

Beta cross-check. The only measured beta we found is 0.45 (stockanalysis.com, 5-year, NSE:ASHOKLEY, page last updated 30 September 2026); Screener shows no beta. Our base case keeps 1.15 for three reasons: it is a single data-provider figure we cannot reproduce; the 0.45 gives a cost of equity of 8.6%, only 3.6 percentage points above our 5.0% terminal growth, which makes the terminal value dominate the DCF; and commercial-vehicle makers are cyclical, so a beta this low looks inconsistent with the fall in earnings in FY20–FY21 shown in Appendix B. The table shows what each beta would do to the value and the rating (our arithmetic, all other inputs unchanged). The rating changes only at a beta well below 1.0, and we flag that as a limitation: if the 0.45 were right the shares would look undervalued.

Beta	Cost of equity	DCF value, 12M (₹)	Blended target (₹)	Total return incl. dividend	Rating band
0.45 (stockanalysis.com)	8.6%	275	215	+47%	Buy
0.80	11.1%	169	165	+13%	Hold
1.00	12.5%	140	150	+3%	Hold
1.15 (our base)	13.6%	124	140	-4%	Hold
1.30	14.6%	113	135	-7%	Hold

Source: our model; beta 0.45 from stockanalysis.com statistics page for Ashok Leyland (NSE:ASHOKLEY), Beta (5Y). Total return uses the ₹3.50 dividend and the CMP of ₹148.91. The rating bands are Buy above +15% and Sell below −10%.

11.3 DCF result

Component	₹ crore	₹ per share
PV of FY27E–FY41E FCFF	35,388	60.2
PV of terminal value	18,663	31.8
Enterprise value	54,051	92.0
Add: net cash (Mar-26)	5,899	10.0
Equity value at 1-Apr-26	59,950	102.1
Rolled forward to 19-Oct-26 (202 days at cost of equity)		109.5
12-month value (DCF)		**124.4**

Source: our model. Terminal value is 35% of enterprise value. Market EV is about ₹85,216 cr (market cap ₹87,468 cr less June-2026 net cash ₹2,252 cr) or ₹81,569 cr using March-2026 net cash.

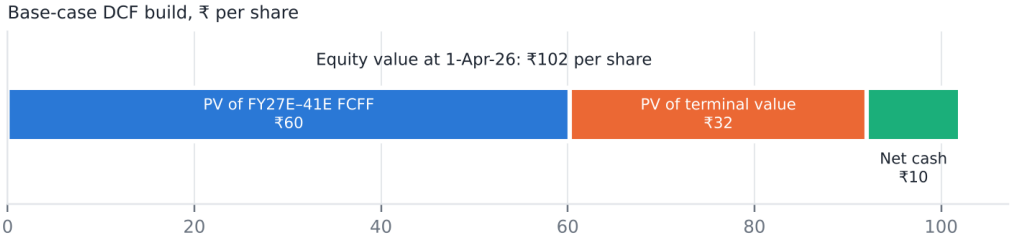


Figure 15: Base-case DCF build per share. Source: our model.

The DCF values operations at ₹54,051 cr, or 9.4x FY26 EBITDA, against a market EV of about 14.9x. The main reasons the DCF is lower than the market and than Motilal Oswal are the 13.6% cost of equity (the market price is consistent with about 11%) and the choice not to value subsidiaries. Using June-2026 net cash instead of March-2026 net cash would lower the DCF by ₹6.7 per share today, but the June number includes the seasonal working-capital outflow that our FY27E cash flows also deduct, so we use March for consistency.

11.4 Sensitivity

Value today (₹) by cost of equity \ g	g = 4%	g = 5%	g = 6%
Cost of equity = 11.0%	144	154	168
Cost of equity = 12.0%	126	133	142
Cost of equity = 13.6%	106	110	114
Cost of equity = 14.0%	101	105	109
Cost of equity = 15.0%	92	95	98

Base-case DCF value today (₹ per share). Market price ₹148.91. Source: our model.

The market price sits inside the grid only at a cost of equity near 11% with 5–6% growth (₹154–168); at our 13.6% the whole range is ₹106–114. A DCF alone would argue for a lower rating; the earnings leg is what holds the blend at Hold.

11.5 Reverse DCF: what the price requires

Holding our explicit FY27E–FY29E forecasts, capex and working-capital assumptions and the 13.6% cost of equity, the current price requires a steady-state EBITDA margin of about 18.6% from FY30E, compared with 13.0% in FY26 and 14.6% in the best quarter we have (Q4 FY26). Said differently, the market is either paying for a structurally higher margin, a lower cost of equity (about 11%), the value of the subsidiaries, or a combination.

11.6 Earnings-multiple leg and cross-checks

Multiple of FY28E EPS	EPS (₹)	Value (₹)	vs CMP
16x	7.85	126	-16%
18x	7.85	141	-5%
20x	7.85	157	+5%
22x	7.85	173	+16%
24x	7.85	188	+27%

At ₹148.91 the shares trade at 24.5x FY26 EPS, 23.2x our FY27E and 19.0x our FY28E EPS. We use 20x because it sits between the 19.0x the market pays on our FY28E numbers and the roughly 22x implied by Motilal Oswal's own target (₹198 ÷ its FY28E EPS of ₹8.9, our arithmetic). The folder gives no historical P/E series and no peer multiples, so we cannot anchor the multiple to the stock's own history; this is a limitation, and the multiple is our assumption.

EV/EBITDA cross-check. Motilal Oswal values the company at 13x FY28E EV/EBITDA. Applied to our FY28E EBITDA of ₹6,850 cr, 13x gives an equity value of ₹155 per share with June-2026 net cash and ₹162 with March-2026 net cash (excluding subsidiaries), close to our P/E leg of ₹157 and well above our DCF. At the market price the stock trades at 12.4x our FY28E EBITDA. Price-to-book is 6.7x; dividend yield 2.4%.

Source (date)	Rating	Target (₹)	Basis	CMP then (₹)
Motilal Oswal (14-Aug-26)	Buy	198	13x FY28E EV/EBITDA + ~₹10/share for the NBFC subsidiaries	172
BP Equities (18-Aug-26)	"Cautiously constructive"	Not stated	No explicit rating or target in the text we have	177
Ours (19-Oct-26)	Hold	140	50:50 DCF / 20x FY28E P/E	148.91

Our target is below the one published target in our folder. Reasons: we give half the weight to a DCF at a 13.6% cost of equity, we cap margins at levels already achieved, we give no value to subsidiaries, and the stock has fallen about 13% from the ₹172 at which Motilal Oswal published (both reports pre-date the fall to ₹148.91). A reader who prefers the broker's method would take roughly ₹155–198 as the range.

11.7 Target price and rating

The 12-month value is ₹124 (DCF) and ₹157 (20x FY28E EPS), a blend of ₹141, rounded to ₹140. With the ₹3.50 FY26 dividend (a 2.4% yield) the expected total return is -3.6%, inside our Hold band (Buy above +15%; Sell below −10%). Conviction is medium: the P/E leg is anchored on a multiple we cannot check against history, and the DCF is sensitive to the cost of equity and to the margin.

11.8 Bull and bear arguments

Bull case (what the Street would argue)	Bear case (what our model argues)
Volume cycle supported by fleet ageing (~10 years), GST cut and infrastructure spending; Q1 FY27 was a record Q1	Industry grew 12.6% in FY26 and +20% in recent months; the base is high and the CEO would not guess FY27 growth
Margin trough is temporary: price hikes (2.25% M&HCV, >3.5% LCV), cost programme, lower break-even, new heavy-truck mix from Q2	Commodity increases are largely outside company control; "we can do it only up to a certain extent" if costs rise exorbitantly (CFO)
Net cash, AA+ ratings, 29.9% RoNW, 55–58% payout; ₹10 per share of NBFC value not in our numbers (Motilal Oswal)	Net cash is seasonal (₹2,252 cr in June); subsidiaries need capital (HLF, HHF, OHM) and the HLF merger has slipped
Market-share gains from HIPPO/TAURUS and mid-bus plans; defence order book above ₹1,500 cr; exports target 25,000	Share dipped to about 29% in Q1 FY27; exports fell 18% in Q1 and depend on GCC logistics and RAK output
Stock 30% below its 52-week high at 19x our FY28E EPS	Even our bull-case DCF 12-month value (₹147) is about equal to the current price

11.9 Price levels at which the rating would change

Holding our ₹140 target constant, the rating bands translate into price levels: Buy below about ₹125 (total return above +15%) and Sell above about ₹159 (total return below −10%). At ₹148.91 the stock is 19% above our Buy trigger and 7% below our Sell trigger. The 52-week low in our price feed is ₹135.84; a retest would still be above the Buy trigger, so it would take a lower price or a higher estimate to change the rating.

12. Risks

Risks to our Hold rating cut both ways: upside risks (what would make the shares worth more than ₹140) and downside risks. We list them with the evidence in our sources and what to watch.

Risk	Direction	Why it matters (source)	Indicator to watch
Commodity costs (steel, aluminium, copper, rubber, PGM)	Down	Q1 FY27 material cost 71.5% (+90 bps); mgmt: pressure peaks Q2; steel "significant increase" (Q4 call); copper strengthened significantly (annual report)	Material cost as a share of sales (each +100 bps ≈ ₹483 cr EBITDA on FY27E sales)
Price-hike stickiness and competition	Both	Cumulative hikes ~2.25% / >3.5%; CEO hopes industry stays disciplined	Realisation per vehicle; discount commentary
Diesel price and availability	Down	Diesel +₹7 and pocket shortages in May 2026; fleets said plans unchanged	Freight rates; Q2 retail data
Cyclicality / pre-buy hangover	Down	Two strong quarters on a GST price cut; Q4 FY26 +18.9%; CEO expects pent-up demand rather than loss	Monthly industry growth after the festive season
Export concentration in GCC and Africa	Down	Exports −18% in Q1 FY27 (RAK output); Nigeria FX and Bangladesh instability (annual report)	Monthly export volume; RAK output (600 → 800 units)
Market-share trend	Both	Q1 FY27 share ~29% vs 30.8% FY26; new heavy trucks only ramp from Q2	Quarterly M&HCV share
Subsidiary capital needs	Down	HLF, HHF, OHM need funds; Optare GBP 50 mn repayable over FY27–FY28; investments "based on requirement"	Investment in subsidiaries; net cash at Sep-26
HLF merger / listing	Up/Down	Slipped past Q4 call timeline; NCLT pending	NCLT order; listing date
Working-capital reversal	Down	Net cash fell from ₹5,899 cr to ₹2,252 cr in one quarter; payables ~69 days of sales	Inventory (opening 8,500 vehicles) and payables
Regulatory and compliance cost	Down	AC mandate cost absorbed; alternative-fuel and emission mandates raise costs; CPCB IV+ (annual report)	Price recovery in LCV (not achieved in FY26)
Electric-vehicle execution	Both	Switch FCF-positive target FY27; PLI thresholds not yet met; battery plant ramp	Switch order book; PLI update
Geopolitics and macro	Down	West Asia, Hormuz, tariffs, rupee (Q4 call: weaker rupee raises costs)	Brent, USD/INR
Valuation framework risk	Both	Our 20x multiple and 13.6% cost of equity are assumptions; no subsidiary value	Peer re-rating; interest-rate path

Direction means the direction in which the risk would move the share price if it occurred. "Both" means the risk has a symmetric or two-way effect.

13. Catalysts and monitoring list

13.1 Catalysts

Timing	Catalyst	What we look for
Q2 FY27 results (Nov 2026; date not in our sources, last year's call was 12 Nov)	Management's guided margin trough	EBITDA margin vs 10.1% in Q1; material cost %; volume vs Q2 FY26
Q2–Q3 FY27	Ramp of HIPPO tractors and TAURUS tippers	M&HCV share back above 30%; heavy-truck mix
Q3 FY27 (Feb 2027)	Guided easing of commodity pressure	Margin back toward 13%; price hikes holding
By Q4 FY27	Management expects the margin turnaround	Margin ≥ Q4 FY26 seasonal pattern
Not dated	HLF reverse merger — NCLT approval	Listing of the finance business; capital relief
FY27	Switch India free-cash-flow positive	Order conversion; OHM funding
"Q2 of next year" (28 May 2026 call)	Battery-pack plant at Pillaipakkam begins production	Capex discipline; PLI qualification
~Sep–Oct 2026 (CEO on 28 May: "4 to 5 months")	PLI update	Whether thresholds are met (not seen in our sources)
FY27 year-end	Dividend declaration	Payout vs 55–58%

13.2 Monitoring list: numbers that would move our rating

Indicator	Latest	Supports upgrade if	Supports downgrade if
EBITDA margin	10.1% (Q1 FY27); FY26 13.0%	Q2 ≥ 11% and Q3 ≥ 12.5%	Q2 below 10%
Material cost % of revenue	71.5%	Back toward 71%	Above 72.5%
Domestic M&HCV share	~29% (Q1 FY27); 30.8% FY26	Back above 30%	Below 29%
Net cash	₹2,252 cr (Jun-26)	Sep-26 above Jun-26 with no new investments	Below ₹1,000 cr outside the seasonal low
Exports	2,461 (−18%) in Q1	Back above 4,500 a quarter	Below 3,500
Industry M&HCV growth	>20% in Jun–Jul 2026	High single digit holds in H2	Negative growth
Switch India order book	~2,100 e-buses	Converting to deliveries	Order book falling

Thresholds are our judgement, not company targets. We use them to decide when to revisit the valuation, not as forecasts.

13.3 What management has committed to

Commitment	Said when	Status in our sources
Capex ₹900–1,000 cr a year, rising over the next 2–3 years	Q1 FY27 call	Q1 FY27 capex ₹153 cr
Optare debt: GBP 25 mn repaid in FY27, GBP 25 mn in FY28 (GBP 30 mn of GBP 80 mn repaid by May 2026)	Q4 FY26, Q1 FY27 calls	In progress
Further price hikes and discount optimisation; July hike >1% (M&HCV), >2% (LCV)	Q1 FY27 call	Cumulative ~2.25% / >3.5% by Q1
Commodity pressure peaks Q2 FY27, softens Q3, turnaround Q4	Q1 FY27 call	Q2 FY27 result pending
HIPPO / TAURUS market-share impact from Q2 FY27	Q4 FY26 call	Q1 FY27 share ~29%
Switch India free-cash-flow positive in FY27	Q2, Q3 FY26 calls	FY26 PAT ~₹100+ cr; FCF outcome pending
OHM operating 2,500+ e-buses within 12 months of Nov-25	Q2 FY26 call	More than 1,900 at June 2026
Bus body capacity to ~20,000 a year after Lucknow and AP ramp-up	Q2, Q3 FY26 calls	Lucknow plant inaugurated in FY26
RAK output back to full capacity (600 → 700 → 800 units a month)	Q4 FY26, Q1 FY27 calls	Slower than first said
Battery-pack plant production start "Q2 of next year"	Q4 FY26 call	Groundbreaking done
Mid-teen EBITDA margin in the mid-term; exports 25,000; ~35% M&HCV share	Q2 FY26 call; AGM; annual report	FY26: 13.0%; 18,082; ~30%
HLF reverse merger "within this or next quarter"	Q4 FY26 call	NCLT pending after Q1 FY27

14. Scenario detail and sensitivity analysis

14.1 Bear, base and bull

Scenario assumption (our DCF)	Bear	Base	Bull
FY27E / FY28E / FY29E EBITDA margin	10.8% / 11.5% / 11.5%	11.8% / 13.0% / 13.5%	12.2% / 14.0% / 14.8%
Steady-state EBITDA margin (FY30E+)	11.5%	13.5%	14.8%
Sales growth FY27E–FY29E vs base	1.5 pp lower a year	as base (≈+9–10% a year)	1.0 pp higher a year
Sales growth FY30E onward	6.5% fading to 5%	9% fading to 5%	10% fading to 5%
FY31E net sales (₹ cr)	62,606	68,355	71,542
DCF value today (₹)	81	110	129
DCF 12-month value (₹)	92	124	147
vs CMP of ₹148.91 (12M value)	-38%	-16%	-1%

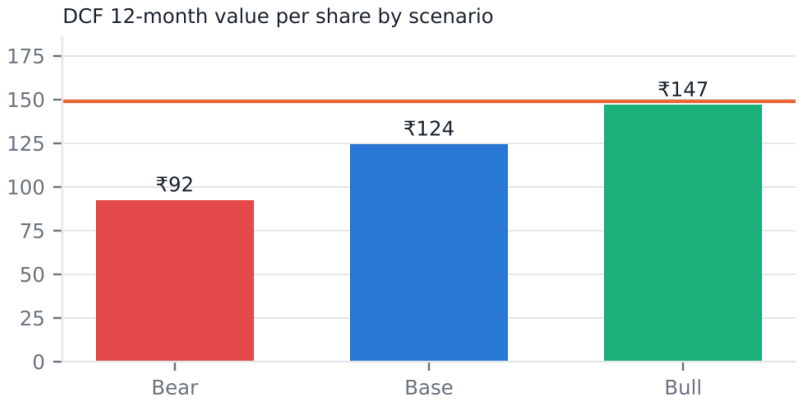


Figure 16: DCF 12-month value per share by scenario against the current price. Source: our model.

The bear case assumes margins stay at 11.5% (about the Q1 FY27 level plus modest recovery) and growth below the base; the bull case assumes the company reaches 14.8% (just above the Q4 FY26 quarterly margin) and faster growth. All three cases use the same cost of equity, tax rate, capex rules and net cash, so the range reflects operating outcomes only. Even our bull case gives a 12-month DCF value about equal to the share price today, which is why the blended target is below the price.

14.2 DCF value against steady-state margin

Steady-state EBITDA margin (FY30E+; FY27E–29E as base)	DCF value today (₹)	vs CMP
11.5%	94	-37%
12.5%	102	-32%
13.5%	110	-26%
14.5%	117	-21%
15.5%	125	-16%
16.5%	133	-11%
18.6% (price-implied)	149	+0%

Each percentage point of steady-state margin is worth about ₹8 per share of DCF value today (our model). To justify the price on DCF alone the company would have to hold a margin well above anything in the FY16–FY26 record we have.

14.3 FY28E EPS sensitivity

FY27–28 volume growth a year \ FY28E margin	11%	12%	13%	14%	15%
3.0%	6.04	6.66	7.29	7.92	8.54
5.0%	6.31	6.96	7.61	8.26	8.91
6.5%	6.51	7.18	7.85	8.52	9.19
8.0%	6.72	7.41	8.10	8.79	9.47
10.0%	7.01	7.72	8.43	9.15	9.86

FY28E EPS (₹) with realisation growth of 2.5% and 3.0% as in our base; depreciation, other income, finance cost and tax as in Section 10. The grid applies the same volume growth in both years; our base (7% then 6%) has the same two-year growth as the 6.5% row, so the base case is the 6.5% row at 13% (₹7.85). Source: our model.

Each 1 point of FY28E margin is worth about ₹0.67 of EPS (≈ ₹13 per share at 20x), and each 1.5 points of annual volume growth about ₹0.25. At 20x, Motilal Oswal's FY28E EPS of ₹8.9 would imply ₹178 per share; BP Equities'

₹8.2 would imply ₹164.

14.4 What you need to believe

- **To justify ₹148.91 on our P/E leg alone:** a multiple of 19.0x on our FY28E EPS, which is below the multiple at which the stock traded on trailing earnings (24.5x); that is not demanding.
- **To justify it on our DCF alone:** a steady-state margin of about 18.6% or a cost of equity near 11%.
- **To reach Motilal Oswal's ₹198:** FY28E EPS near ₹8.9, a ~14% EBITDA margin in FY28E, a 13x EV/EBITDA multiple and about ₹10 per share for the finance subsidiaries.
- **To be a seller at ₹159 or above:** nothing changes in our estimates; the price would simply run ahead of them.

14.5 Rules of thumb on FY27E

Change (FY27E base)	Sales (₹ cr)	EBITDA (₹ cr)	EPS (₹)	Value at 20x (₹)
Realisation +1% (no cost change)	+483	+483	+0.61	+12
Material cost +100 bps of sales	–	−483	−0.61	−12
Volume +5% at constant margin	+2,413	+285	+0.36	+7
EBITDA margin +100 bps	–	+483	+0.61	+12
Other income +₹100 cr	–	–	+0.13	+3
Tax rate +1 percentage point	–	–	−0.09	−2

Source: our model (tax at 25.5%, 587.39 cr shares; the 20x value is shown only to size the effect on the P/E leg, which applies to FY28E EPS). A recovery of 100 bps of margin across the year is worth about ₹0.61 of FY27E EPS.

15. Evidence register: what we read and how we used it

This section lists what we read, how directly we read it and what we could not read, so a reader can judge how much weight each conclusion deserves.

Document	Access	Used for	Limitation
Annual report FY26	Full text of all 340 pages read, including audited standalone and consolidated statements, notes and AOC-1	FY26 P&L, balance sheet, cash flow and notes; consolidated and segment data; subsidiaries; industry data; shareholding	Consolidated and subsidiary auditors' reports not read separately
Annual report FY25	Full 323 pages, including audited statements	FY24 and FY25 audited comparatives; 10-year table; FY25 narrative	Notes not used beyond cross-checks
Annual report FY24	First ~75 pages only (board report, notice)	FY24 narrative; related-party resolutions	Audited statements not read; FY24 figures come from the FY25 audited comparatives
Annual Return FY26	Scanned image; unreadable	Not used	Contents unknown to us
Q1 FY26 call transcript	Read directly	Q1 FY26 numbers, FY26 guidance	Saved summary rather than verbatim extract
Q2, Q3, Q4 FY26 call transcripts	Read directly	Quarterly numbers, guidance, Q&A	Transcripts are "edited for readability"
Q1 FY27 call transcript	Read directly	Latest quarter, margin and capex guidance	Date of call not shown in our extract
AGM transcript (14-Aug-25)	Read directly	FY25 summary, targets, governance	Shareholder Q&A is anecdotal
Motilal Oswal (14-Aug-26)	Read directly	Estimates, target, valuation basis	Pre-dates the fall to ₹149
BP Equities (18-Aug-26)	Read directly	Estimates FY23–FY28E; ratios	No explicit rating or target in the text
Portfolio dashboard price feed	Direct (Yahoo Finance via the tracker)	CMP, 52-week range, market cap (derived)	Not an exchange record

15.1 Where sources disagree

Item	Source A	Source B	How we treat it
M&HCV domestic share, FY26	30.3% (annual report MD&A; −0.4 pp)	30.8% (annual report message to shareholders; CEO, Q4 call); trucks 30.2% (CEO) vs 30.0% (MD&A); buses 34.1%	Not resolved: both appear in the annual report; we use "about 30–31%"
Engines sold, FY26	36,351 (ten-year table)	36,046 (MD&A business section, +10%)	Show both; use +10% growth
Spare parts / aftermarket, FY26	₹3,782 cr domestic spares, +8% (MD&A table); CFO "~₹3,800 cr"	₹4,450.37 cr, +12% (audited revenue Note 2.1; aftermarket section; ten-year table)	Use ₹4,450 cr as the revenue line; treat ₹3,782 cr as a narrower domestic figure (our reading)
Promoter holding	51.10% (annual report shareholding pattern: 3,00,13,20,522 shares; Motilal Oswal)	51.5% (BP Equities table)	Resolved: use annual report; BP figure unsupported
Investing cash flow, FY26	₹3,205.20 cr outflow (audited cash-flow statement; MD&A text)	₹2,227 cr (MD&A table)	Resolved: ₹2,227 cr is ₹3,205 cr less net capex of ₹978 cr; use ₹3,205 cr
Net cash	₹5,899 cr (Mar-26: CEO, Q4 call; Chairman "nearly ₹6,000 cr")	₹2,252 cr (Jun-26: Q1 FY27 call)	Not a conflict: different dates; Q4 payables peak in Apr–May
Finance subsidiaries' profit	HLF PAT ₹491 cr; HHF PAT ₹387 cr (annual report message to shareholders and Q4 call, FY26)	Q1 FY27: HLF ₹123 cr, HHF ₹69 cr	Consistent: AOC-1 shows HLF group PAT of ₹877.37 cr, close to 491 + 387 = 878 (our arithmetic)
Reverse-merger counterparty name	NDL Ventures Limited (annual report FY26, board report and notes)	NBL Ventures (Q4 call); NXT Digital (Q2 call)	Resolved: NDL Ventures Limited; the transcripts are mis-transcribed
52-week range	₹211.92 / ₹135.84 (price feed, Oct-26)	₹215 / ₹119 (Motilal Oswal, Aug-26)	Windows and dates differ; we use the feed
Dividend and EPS comparability	FY24–FY25 DPS and EPS reported pre-bonus (₹4.95, ₹6.25; ₹8.92, ₹11.25)	FY25 EPS ₹5.62, FY26 EPS ₹6.07 and DPS ₹3.50 post-bonus	Halve pre-bonus figures; stated in each table

15.2 What we did not have

- Audited statements and notes of the subsidiaries beyond the AOC-1 summary (HLF, HHF, Switch, OHM), and the FY24 audited statements.
- Exchange filings, investor presentations, monthly sales releases and any Screener-type data (so no historical P/E series, no peer comparison and no consensus).
- A beta we could reproduce: the only measured beta found is stockanalysis.com's 0.45 (5-year, 30-Sep-26), which we show as a cross-check in Section 11.2; our 1.15 is an assumption.
- Company or broker commentary after mid-August 2026, including Q2 FY27 volume data.
- The FY26 Annual Return (scanned image).

15.3 How we checked the numbers

Every figure in the report was traced to a named document or derived by arithmetic we show. Totals were cross-checked: the four FY26 quarters sum to ₹44,008 cr of revenue (annual: ₹44,007 cr); FY26 EBITDA derived from the cost lines (₹5,732 cr) matches the company's 13.03% margin; volume categories (106,772 + 74,322 + 21,261 + 18,082) sum to 220,437; the balance sheet balances (equity ₹13,113 cr + non-current liabilities ₹2,154 cr + current liabilities ₹13,327 cr = ₹28,594 cr). Headline lines of the standalone P&L, balance sheet and cash flow were checked against the audited statements in the FY26 annual report (FY25 comparatives against the FY25 report). The estimates and valuation are produced by one script from the assumptions shown in Sections 10 and 11, so every valuation figure in the text and tables comes from the same run.

16. Frequently asked analytical questions

Why Hold after a record year?

Because record results are already visible in the price on our numbers: at ₹148.91 the stock is on 19.0x our FY28E EPS and 12.4x FY28E EBITDA, and our blended value of about ₹141 is slightly below the price. A Hold means we neither expect the price to fall far nor see a margin of safety.

Why is your target below Motilal Oswal's ₹198?

Three differences: our FY28E EBITDA margin is 13.0% against its 14.0%; we use a cost of equity of 13.6% in the DCF and weight it 50%; and we give no value to the finance subsidiaries (it adds about ₹10 per share). Using its multiple of 13x on our EBITDA gives ₹155–162 per share before subsidiaries.

Is the Q1 FY27 margin drop a one-off?

Partly seasonal (Q1 is the weakest quarter in FY25 and FY26) and partly commodity-driven (material cost +90 bps). Management expects Q2 to be the trough, with price hikes and cost actions helping from Q3. Our FY27E margin of 11.8% builds in only a partial recovery.

How much of the cash is really free?

Net cash was ₹5,899 cr in March and ₹2,252 cr in June 2026 because payables peak in April–May. Free cash flow (operating cash flow less net capex) was about ₹3,814 cr in FY26, but FY25's ₹6,895 cr included a ₹3,741 cr working-capital release. We would not capitalise either year; our DCF models working capital at 8% of incremental sales.

What happens when the GST cut laps in September 2026?

Q3 FY27 and Q4 FY27 face the highest-ever Q3 and Q4 industry comparisons (2.90 and 3.25 lakh units). The CEO's view is that deferred demand will convert to pent-up demand and that fleets are sticking to expansion plans; the industry grew over 20% in June and July 2026. Our FY27E volume growth of 7% assumes a sharp slowdown in H2 from those rates.

Why not add the value of the subsidiaries?

We lack subsidiary-level valuation inputs: the annual report gives only AOC-1 summaries for HLF, HHF, Switch and OHM, we have no listed-peer multiples, and the reverse merger is unresolved. The book value of non-current investments (₹6,559 cr, about ₹11 per share) is a floor reference rather than a valuation. We say plainly that this is the largest omitted upside.

Why a cost of equity of 13.6%?

We use the same risk-free rate and equity risk premium as in our other reports and a beta of 1.15 that reflects the cyclicality of commercial vehicles. A beta of 1.0 would give a cost of equity of 12.5%, and the DCF value today would then be around ₹121 (between the 12.0% and 13.6% rows of Section 11.4). Section 11.2 shows the effect of other betas, including the 0.45 shown by stockanalysis.com.

What do you assume for exports and defence?

We do not forecast them separately. They are in the revenue-per-vehicle and margin assumptions. Management targets 25,000 export vehicles a year in the medium term (FY26: 18,082) and about 20% annual defence growth with an order book above ₹1,500 cr; we treat both as upside to volume rather than base case.

What would make you a buyer?

A price near ₹125 on unchanged estimates, or two consecutive quarters in which the EBITDA margin recovers to 12.5–13% with material cost back near 71%, which would lift our FY28E EPS toward ₹8.5 and the target above ₹165.

Is this investment advice?

No. It is an AI-assisted analysis built for a virtual portfolio exercise. Estimates are our own assumptions, sources are named, and every conclusion should be checked against primary filings before any real-money decision.

Appendix A. Base-case DCF year by year

Our base case, FY27E–FY41E (₹ crore). Discount factors use end-of-year convention from 1-Apr-26 at a 13.56% cost of equity. EBITDA excludes other income; FCFF = EBIT − tax on EBIT + depreciation − capex − change in working capital.

FY	Net sales	EBITDA	Margin	EBIT	Tax	Dep.	Capex	ΔNWC	FCFF	DF	PV
2027E	48,265	5,695	11.8%	4,935	1,258	760	950	341	3,146	0.881	2,770
2028E	52,695	6,850	13.0%	6,040	1,540	810	1,050	354	3,906	0.775	3,028
2029E	57,533	7,767	13.5%	6,907	1,761	860	1,150	387	4,469	0.683	3,051
2030E	62,711	8,466	13.5%	7,494	1,911	972	1,380	414	4,761	0.601	2,863
2031E	68,355	9,228	13.5%	8,168	2,083	1,059	1,504	452	5,190	0.529	2,748
2032E	74,165	10,012	13.5%	8,863	2,260	1,150	1,632	465	5,656	0.466	2,637
2033E	80,098	10,813	13.5%	9,572	2,441	1,242	1,762	475	6,136	0.411	2,519
2034E	86,105	11,624	13.5%	10,290	2,624	1,335	1,894	481	6,625	0.362	2,395
2035E	92,133	12,438	13.5%	11,010	2,808	1,428	2,027	482	7,121	0.318	2,267
2036E	98,122	13,246	13.5%	11,726	2,990	1,521	1,962	479	7,815	0.280	2,191
2037E	1,04,009	14,041	13.5%	12,429	3,169	1,612	2,080	471	8,321	0.247	2,054
2038E	1,09,729	14,813	13.5%	13,113	3,344	1,701	2,195	458	8,818	0.217	1,917
2039E	1,15,216	15,554	13.5%	13,768	3,511	1,786	2,304	439	9,300	0.191	1,780
2040E	1,20,977	16,332	13.5%	14,457	3,686	1,875	2,420	461	9,765	0.169	1,646
2041E	1,27,025	17,148	13.5%	15,180	3,871	1,969	2,541	484	10,253	0.148	1,522

Terminal value = FY41E FCFF × 1.05 ÷ (13.56% − 5.0%) = ₹1,25,740 cr, discounted at 0.148 = ₹18,663 cr. Source: our model.

Appendix B. Historical data table

Ten-year history, standalone, Ind AS (₹ crore unless stated). Source: annual report FY25 and FY26 historical tables. EPS and DPS are as reported in each year (pre-bonus until FY24; FY25 and FY26 EPS are post-bonus).

Item	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Vehicles (units)	1,40,457	1,45,066	1,74,873	1,97,366	1,25,200	1,00,725	1,28,326	1,92,205	1,94,555	1,95,097	2,20,437
Engines (units)	15,551	16,491	18,751	21,859	20,359	23,923	20,944	22,925	32,374	32,930	36,351
Spare parts and others	1,273	1,694	1,950	1,880	1,766	1,703	2,033	2,578	3,469	3,978	4,450
Revenue (gross sales)	19,993	21,453	26,633	29,055	17,467	15,301	21,688	36,144	38,367	38,753	44,007
Profit before tax	827	1,330	2,386	2,497	362	(412)	528	2,110	3,792	4,348	4,814
Profit after tax	390	1,223	1,718	1,983	240	(314)	542	1,380	2,618	3,303	3,566
Basic EPS (₹)	1.37	4.24	5.87	6.76	0.82	(1.07)	1.85	4.70	8.92	5.62*	6.07*
Dividend per share (₹)	0.95	1.56	2.43	3.10	0.50	0.60	1.00	2.60	4.95	6.25	3.50*
Employees	10,352	11,906	11,865	12,133	11,463	10,758	10,101	9,603	9,607	9,695	9,891

*Post-bonus (1:1, July 2025). FY25 DPS of ₹6.25 is pre-bonus (₹3.125 post-bonus). FY16 figures are from the FY25 annual report table; FY17–FY26 from the FY26 table.

Derived: revenue grew at a 8.2% compound rate over FY16–FY26, 6.1% from the FY19 peak and 23.5% from the FY21 trough; vehicles sold are 11.7% above the FY19 peak while revenue is 51% above it, reflecting higher realisation per vehicle and a larger non-vehicle business; employees are -18% below FY19.

Appendix C. Glossary

Term	Meaning
AUM	Assets under management (finance subsidiaries)
BS-VI / BS7	Bharat Stage emission standards; BS7 is the next stage
CBU / VFJ kits	Completely built units / vehicle-for-jobs kits supplied for defence orders
CPCB IV+	Central Pollution Control Board emission norms for industrial engines
DCF	Discounted cash flow valuation
EBITDA	Earnings before interest, tax, depreciation and amortisation (company basis excludes other income)
EV	Enterprise value: market capitalisation less net cash
FCFF	Free cash flow to the firm
FPI	Foreign portfolio investor
GST 2.0	September 2025 GST rate rationalisation that cut the rate on commercial vehicles from 28% to 18%
HLF / HHF	Hinduja Leyland Finance / Hinduja Housing Finance
ICV	Intermediate commercial vehicle
LCV	Light commercial vehicle (2–4 tonne and similar)
M&HCV	Medium and heavy commercial vehicle
MAV	Multi-axle vehicle
NCLT	National Company Law Tribunal
OHM	OHM Global Mobility, the e-bus operating subsidiary
PLI	Production-linked incentive scheme
RoNW	Return on net worth (PAT before exceptional items ÷ total equity)
SIAM	Society of Indian Automobile Manufacturers
Vahan	Government vehicle-registration database used for retail market share
bps	Basis points: 100 bps = 1 percentage point

Appendix D. Important information

This document is an AI-assisted analysis prepared for a virtual-portfolio exercise. It is not investment advice, a recommendation to buy or sell any security, or an offer. The author does not hold a position other than in a virtual (paper) portfolio. Rating bands: Buy = expected total return above +15%; Hold = −10% to +15%; Sell = below −10%, measured over twelve months from the price date including dividends.

Facts are taken from the documents named in Section 15 and the portfolio dashboard price feed. Figures labelled "our estimates" or "our arithmetic" are derived by us and may be wrong. Forecasts, valuation inputs (beta, cost of equity, terminal growth, target multiple, working-capital and capex assumptions) are our assumptions. Past performance and company guidance are not reliable indicators of future results. Readers should verify against primary filings before relying on any figure.

Prices are as of the 16 October 2026 close from the portfolio dashboard price feed (Yahoo Finance via the tracker); the 52-week range is from the same feed. Market capitalisation is derived (price × 587.39 cr shares) and may differ from exchange or data-vendor figures.